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In The
Supreme Court of the United States
October Term, 1994

44 LIQUORMART, INC. and PEOPLES
SUPER LIQUOR STORES, INC.,

Petitioners,

v.

STATE OF RHODE ISLAND, and RHODE ISLAND
LIQUOR STORES ASSOCIATION,

Respondents.

Petition For A Writ Of Certiorari
To The United States Court Of Appeals
For The First Circuit

PETITION FOR A WRIT OF CERTIORARI

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88 pp



QUESTIONS PRESENTED

1. Does the Twenty-first Amendment weaken the protection the First Amendment affords truthful, non-misleading price advertising by relieving the state of the burden to prove that its restriction on speech "directly and materially advances a substantial state interest in a manner no more extensive than necessary to serve that interest?"
2. May the burden of proving the invalidity of a restriction on commercial speech be shifted to the party challenging the restriction by according presumptive validity to the state's unproved hypothesis?

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OPINIONS BELOW

1. *44 Liquor Mart, Inc. v. Racine*, 829 F. Supp. 543 (D.R.I. 1993).
2. *44 Liquormart, Inc. v. State of R.I.*, ___ F.3d ___ (1st Cir. 1994).

BASIS FOR JURISDICTION

The judgment of the United States Court of Appeals for the First Circuit was entered on October 24, 1994. Jurisdiction is conferred by 28 U.S.C. §1254.

STATUTES INVOLVED

Rhode Island General Laws §§3-8-7 and 3-8-8.1 and Regulation 32 of the Rhode Island Liquor Control Administration.¹

STATEMENT OF THE CASE

Summary Of Reasons For Granting The Writ

The petitioners, 44 Liquormart, Inc., a Rhode Island liquor store operator (44 Liquormart), and Peoples Super Liquors, Inc., a Massachusetts liquor store operator (Peoples) request that the Court issue a *Writ of Certiorari* to correct the decision of the United States Court of Appeals for the First Circuit, and resolve a conflict between the First and Fifth Circuits, on the question of whether the Twenty-first Amendment gives an added presumption of validity to a state's ban on advertising the price at which a retailer sells alcoholic beverages. The Court of Appeals effectively held that the Twenty-first Amendment overcame the First Amendment's protection for commercial speech by eliminating the government's burden to prove that "the restriction directly and materially advances a substantial state interest in a manner no more extensive than necessary to serve that interest." *Ibanez v. Florida Dept. of Business and Professional Regulation*, __ U.S. __, 114 S. Ct. 2084, 2088 (1994). That decision was contrary to the decisions of this Court and in conflict with that of a majority of the judges of the Fifth Circuit in *Dunagin v. City of Oxford Mississippi*, 718 F.2d 738, 746 (5th Cir. 1983).

¹ The text of the statutes and regulation is set forth in the Statutory Addendum.

There is also a split on the point in state court decisions.² In addition, the Court of Appeals erroneously held that the restriction on speech was valid, despite findings by the District Court that the restriction did not materially advance the state's interest, and was more burdensome than necessary when the state's interest could be fully served without restricting speech at all.

Procedural History

This is an action by 44 Liquormart and Peoples originally brought against the Rhode Island Liquor Control Administrator (the Liquor Control Administrator), for a determination that R.I.G.L. §§3-8-7 and 3-8-8.1 and Regulation 32 of the Rhode Island Liquor Control Administration, which ban advertising the price of alcoholic beverages within the State of Rhode Island, deny the petitioners their constitutional right to freedom of speech and deny the citizens of Rhode Island their constitutional right to obtain accurate price information about lawful products. Jurisdiction in the United States District Court is based upon 28 U.S.C. §1331 (federal question) and 42 U.S.C. §1983 (deprivation of federal constitutional rights under color of state law). The Rhode Island Liquor Stores Association (RILSA) was permitted to intervene over the plaintiffs' objection to protect its members' interest in restricting competition.³ Later the State of Rhode Island was substituted as the party defendant.

² See pages 8-9, below.

³ In its memorandum in support of its motion to intervene, at page 2, the Rhode Island Liquor Stores Association stated its interest: "[t]he overwhelming majority of the Class A Retailers in the State of Rhode Island operate at a marginal profit. The elimination of the prohibition on advertising of liquor sales

After trial on the merits, including taking testimony of expert witnesses for both sides, the District Court in a well-reasoned opinion applied the standard set forth in *Central Hudson Gas & Electric Corp. v. Public Service Commission of New York*, 447 U.S. 557 (1980) to the facts found, and entered a judgment that the price advertising ban was unconstitutional. 44 *Liquor Mart, Inc. v. Racine*, 829 F. Supp. 543 (D.R.I. 1993). The State and RILSA appealed to the United States Court of Appeals for the First Circuit.

On May 2, 1994, the Court of Appeals affirmed the District Court's ruling as to out of state retailers, but reversed as to Rhode Island retailers. Both sides filed petitions for rehearing with suggestions for rehearing *en banc*. On July 22, 1994, the panel ordered the May 2 opinion withdrawn and issued a "not for publication" amended opinion that reached the same result as the earlier opinion. The court "ordered that either party may file a petition for rehearing with a suggestion for rehearing *en banc* by July 22, 1994." Both sides did so. On July 29, 1994, the Court of Appeals denied 44 Liquormart's petition for rehearing, but took no action on those of Rhode Island and RILSA. 44 Liquormart obtained an order from this Court extending the time for filing its petition for a writ of *certiorari* to and including December 26, 1994. On October 24, 1994, the Court of Appeals entered a judgment reversing the decision of the District Court in its entirety.

would, of necessity, add an additional financial burden to each of the Class A Retailers who would be obliged to participate in the advertising arena and would be at a definite disadvantage when matched up against retailers who hold multiple licenses".

Facts

44 Liquormart operates a retail store for the sale of alcoholic beverages for consumption off the premises in Johnston, Rhode Island. Peoples operates retail stores for the sale of alcoholic beverages for consumption off the premises in New Bedford and Fairhaven, Massachusetts. The Liquor Control Administrator is charged with enforcing Rhode Island's laws and regulations governing the sale of alcoholic beverages. 44 *Liquormart, Inc. v. Racine*, *supra*, (App. 20).

Rhode Island permits all advertising relating to alcoholic beverages, except that it forbids any reference to price outside licensed retail premises and prohibits Rhode Island communications media from accepting any advertisements that contain any reference to price in other states as well as Rhode Island. *Ibid*.

The Liquor Control Administrator vigorously enforces the price advertising ban. The ban on price advertising has been interpreted to go beyond stating the price at which a product is offered for sale. The Liquor Control Administrator has found that the price advertising ban prohibits use of the word "sale" in alcoholic beverages advertisements and that use of the word "wow" when juxtaposed with a reference to a particular item of alcoholic beverages in an advertisement also violates the statute and regulation. On December 17, 1991, the Liquor Control Administrator found 44 Liquormart in violation of R.I.G.L. §§3-8-7 and 3-8-8.1 and Regulation 32. She imposed a fine for publishing advertisements containing the words "wow" and "sale" in a newspaper even though the advertisements did not state the price at

which any product was offered for sale.⁴ Other liquor licensees, as well as newspapers within Rhode Island, have been warned and fined for violation of the price advertising ban. *Ibid.*

Peoples, a Massachusetts retailer, has made extensive use of price advertising in Massachusetts where it is permitted. Peoples has attempted to place its advertisements, which include price information, in Rhode Island communications media, but has been refused because of the Rhode Island statute. Rhode Island communications media reach both Rhode Island and Massachusetts citizens. *Ibid.*

Both 44 Liquormart and Peoples desire to advertise the prices at which they offer alcoholic beverages for sale in Rhode Island communications media. Their proposed price advertising does not concern an illegal activity and presumably would not be false or misleading. *Ibid.*

Rhode Island justifies its ban on price advertising solely as promoting temperance, which it equates with reducing the consumption of alcoholic beverages. *Ibid.* There are no scientific studies that show banning price advertising has any direct effect upon consumption. 44 *Liquormart, Inc. v. Racine, supra* (App. 22). In 1985 the Federal Trade Commission found that there is no reliable basis on which to conclude that alcohol advertising significantly affects alcohol abuse and that there is no basis for concluding that banning or otherwise limiting advertising would offer significant protection to the public. *Ibid.*

⁴ Since newspaper advertisements would not seem to constitute a "placard or sign" as used in Regulation 32, it is difficult to understand the basis for finding a violation of the Regulation.

Per capita consumption is affected by factors such as religion, ethnic background, family makeup and peer pressure that are more important in determining the amount of alcohol consumed than the presence or absence of price advertising. Indeed, per capita consumption in Rhode Island is higher than in some states that permit price advertising. According to the latest statistics, Rhode Island ranked in the upper 30 percent of the states in total per capita consumption. *Ibid.*

The state's expert attempted to justify the ban on price advertising with the theory that it would maintain higher prices by preventing price wars among Rhode Island retailers and increase the "search cost" that Rhode Island consumers would be subject to in attempting to find lower priced retailers. However, the District Court found that the state's theory had not been proved because Rhode Island's off-premises price advertising ban has had no significant impact on levels of alcohol consumption in Rhode Island. 44 *Liquormart, Inc. v. Racine, supra*, (App. 31).

REASONS FOR GRANTING THE WRIT

A. The Twenty-first Amendment Does Not Give An Added Presumption Of Validity To A Ban On Advertising The Price At Which A Retailer Sells Alcoholic Beverages.

The Court of Appeals thought it "precisely in order" to give Rhode Island's restriction on speech an "added presumption of validity" because of the use of that phrase in *California v. LaRue*, 409 U.S. 109, 118-119 (1972) (App. 8). The effect of the added presumption was to eliminate the state's burden to prove the validity of the price advertising ban under *Central Hudson* and to put the

burden of proving invalidity on the petitioners. That attenuation of the First Amendment is contrary to the decisions of this Court and in conflict with the decision of the Fifth Circuit when it considered the issue.

In *Lamar Outdoor Advertising v. Mississippi State Tax Commission*, 701 F.2d 314 (5th Cir. 1983), a panel of the Fifth Circuit upheld a decision of the District Court finding a ban on alcoholic beverages advertising unconstitutional. The panel considered and rejected the state's argument that the Twenty-first Amendment, as applied in *LaRue*, made it "not an ordinary commercial speech case." 701 F.2d at 325-330. Hearing the matter *en banc*, the Fifth Circuit divided eight to five in finding the law constitutional, but said "[w]e base our decision, ultimately, upon the application of the Supreme Court's analysis in" *Central Hudson*. *Dunagin v. City of Oxford Mississippi*, 718 F.2d 738, 746 (5th Cir. 1983). Two members of the majority joined in a concurring opinion to emphasize their view that "[a] conclusion that the Twenty-first Amendment justifies greater intrusions upon the constitutional liberties of individual citizens than would otherwise be the case is an *insidious doctrine*. . . ." 718 F.2d at 754 [emphasis added]. Thus, seven of the 13 judges concurred in rejecting giving *any* weight to the Twenty-first Amendment, or the *dictum* in *La Rue*.

The state courts are also divided on the question. In *Michigan Beer & Wine Wholesalers Association v. Attorney General*, 142 Mich. App. 294, 370 N.W.2d 328 at 336 (Mich. Ct. App. 1985), *cert. den.*, 479 U.S. 939 (1986), the court considered the effect of *LaRue* and *New York State Liquor Authority v. Bellanca*, 452 U.S. 714 (1981), and concluded that "the Twenty-first Amendment does not require us to deal with restraints on freedom of speech any differently than we would if alcoholic beverages were not involved"

in striking down a restriction on price advertising for alcoholic beverages. 370 N.W.2d at 335. But the Pennsylvania Supreme Court (over vigorous dissent) recently held that its price advertising ban was supported by the added "presumption of validity" afforded by the Amendment. *Pennsylvania State Police v. Hospitality Investments of Philadelphia, Inc.*, ___ A.2d ___, No. 77 E.D. 1992, 1994 WL 606543 (Pa. November 3, 1994)

Oklahoma Telecasters Association v. Crisp, 699 F.2d 490 (10th Cir. 1983), which was relied upon by the state and the Court of Appeals, applied the *Central Hudson* analysis to an Oklahoma ban on alcoholic beverages advertising. However, its analysis may have been skewed by its conclusion that the Twenty-first Amendment permitted "regulation of commercial speech that might not otherwise be permissible." 699 F.2d 502.⁵

In *Queensgate Investment Co. v. Liquor Control Commission*, 459 U.S. 807 (1982), the Court dismissed, "for want of a substantial federal question," an appeal from a decision of the Ohio Supreme Court upholding a partial ban on price advertising for alcoholic beverages. While the Ohio court did not rely on *LaRue*, it did rely on the Twenty-first Amendment to fortify the substantiality of Ohio's interest in discouraging "excessive consumption of alcoholic beverages." *Queensgate Investment Co. v.*

⁵ The Tenth Circuit upheld the ban. This Court granted *certiorari* to consider the petitioner's claim that the ban was not a valid restriction on commercial speech, but ultimately decided the case on a ground raised by the Federal Communications Commission *amicus curiae*, holding that the Oklahoma ban on the retransmission of liquor advertisements in out-of-state signals by cable operators was preempted by federal regulation of cable broadcasting. *Capital Cities Cable, Inc. v. Crisp*, 467 U.S. 691, 697 (1984).

Liquor Control Commission, 433 N.E. 2d 138, 141-142 (Oh. 1982). While recognition that the Twenty-first Amendment assists a state in establishing substantially its interest under the second part of the *Central Hudson* test is arguably appropriate, using the Amendment to modify or shift the burden of proof under the third and fourth parts of the test is not. In any event, most courts, including the Court of Appeals below, have not relied upon *Queensgate* as blanket authority for a price advertising ban, but have conducted an independent evaluation under *Central Hudson*. *Dunagin v. City of Oxford, Mississippi*, *supra*, 718 F.2d at 746. In *Oklahoma Telecasters Association v. Crisp*, *supra*, at 497-498 the court conducted an independent evaluation, but also was of the opinion that *Queensgate* "manifestly presented an issue concerning the tension between the First and Twenty-first Amendments." 699 F.2d at 497 [emphasis added]. Rhode Island urged below that *Queensgate* was dispositive. The Court of Appeals, acknowledged *Queensgate* and speculated as to its applicability without resolving the question. (App. 9). The apparent ambiguity or the effect to be given to this Court's dismissal of the appeal in *Queensgate* could be helpfully addressed by the Court in this case.

Suggesting that the Twenty-first Amendment authorizes curtailment of First Amendment protection for those who lawfully deal in alcoholic beverages is both persistent and pernicious. In *Bentsen v. Coors Brewing Company*, presently pending in this Court, the United States argued that its "labeling restriction" was "entitled to an added presumption of validity" because of the Twenty-first Amendment. No. 93-1631, Petitioner's Brief, 41.

Justice Stevens' apprehension that *LaRue* would become authority for the proposition that "the Twenty-first Amendment repealed not only the Eighteenth Amendment, but some undefined portion of the First Amendment as well,"

City of Newport, Kentucky v. Iacobucci, 479 U.S. 92, 103 (1986) [dissenting opinion], has been manifested. There is a conflict on this point between the First Circuit and the Fifth Circuit's, with the Tenth Circuit taking a middle road, but leaning toward the First Circuit's view, and the state courts are similarly divided, demonstrating the need for a resolution by this Court.

The Court of Appeals below and the recent decision of the Pennsylvania Supreme Court have read far too much into *LaRue* at the cost of the First Amendment. The Twenty-first Amendment was intended to create an exception to the normal operation of the Commerce Clause by permitting states to impose burdens on interstate commerce that otherwise would be invalid. "Neither the text nor the history of the Twenty-first Amendment suggests that it qualifies individual rights protected by the Bill of Rights and the Fourteenth Amendment where the sale or use of liquor is concerned." *Craig v. Boren*, 429 U.S. 190, 205-206 (1976).

The States enjoy broad power under §2 of the Twenty-first Amendment to regulate the importation and use of intoxicating liquor within their borders. . . . At the same time, our prior cases have made clear that the Amendment does not license the States to ignore their obligations under other provisions of the Constitution. . . . Indeed, "[t]his Court's decisions . . . have confirmed that the Amendment primarily created an exception to the normal operation of the Commerce Clause." . . . Thus, as the Court explained in *Hostetter v. Idlewild Bon Voyage Liquor Corp.*, 377 U.S. 324, 84 S. Ct. 1293, 12 L.Ed.2d 350 (1964), §2 reserves to the States power to impose burdens on interstate commerce in intoxicating liquor that, absent the

Amendment, would clearly be invalid under the Commerce Clause. *Capital Cities Cable, Inc. v. Crisp*, *supra*, 467 U.S. at 712 [citations omitted].

The Court has consistently rejected states' attempts to rely upon the Twenty-first Amendment as a justification for abrogating other constitutional provisions. See *Dept. of Revenue v. James B. Beam Distilling Co.*, 377 U.S. 341 (1964) [states may not tax alcoholic beverages in violation of the Import-Export Clause]; *Wisconsin v. Constantineau*, 400 U.S. 433, 436 (1971) [a statute that required the posting of names of excessive drinkers in retail liquor outlets violated due process]; *Craig v. Boren*, *supra* [a statute that prohibited the sale of beer to men under twenty-one and women under eighteen violated equal protection]; *South Dakota v. Dole*, 483 U.S. 203 (1987) [federal statute conditioning receipt of highway funds on adoption of minimum drinking age is a valid exercise of Congress' spending power].

Significantly, the Court has found many circumstances under which the Twenty-first Amendment does not even supplant the Commerce Clause. *California Retail Liquor Dealer's Ass'n v. Midcal Aluminum, Inc.*, 445 U.S. 97 (1980) [the states' power to regulate alcoholic beverages traffic is subject to federal anti-trust laws]; *Bacchus Imports, Ltd. v. Dias*, 468 U.S. 263 (1984) ["economic protectionism" of local alcoholic beverages violates the Commerce Clause]; *Brown-Forman Distillers Corporation v. New York State Liquor Authority*, 476 U.S. 573 (1986) [state regulation of alcoholic beverages prices is invalid under the Commerce Clause when it affects prices in other states]; *324 Liquor Corp. v. Duffy*, 479 U.S. 335 (1987) [a mandatory 112 percent minimum markup on alcoholic beverages based on the wholesale price violates antitrust

laws]; *Healy v. The Beer Institute*, 491 U.S. 324 (1989) [state regulation of alcoholic beverages prices is invalid under the Commerce Clause when it affects prices in other states]. In *Capital Cities Cable, Inc. v. Crisp*, *supra*, the Court held that a state's ban on alcoholic beverages advertising was preempted under the Commerce Clause by a federal regulation, without any discussion of whether the Twenty-first Amendment might provide an added presumption of validity.

Finally, in *Larkin v. Grendel's Den, Inc.*, 459 U.S. 116 (1982), the Court decided that the First Amendment Establishment Clause prevented a state from giving churches a veto over the issuance of liquor licenses within 500 feet of them. No added presumption of constitutionality was accorded the state because of the Twenty-first Amendment. "The State may not exercise its power under the 21st Amendment in a way which impinges upon the Establishment Clause of the First Amendment." 459 U.S. at 122 n.5. There is no basis to afford greater protection to the interests safeguarded by the Establishment Clause than the Free Speech Clause.⁶ Thus, the Court of Appeals' use of an "added presumption" of constitutionality to shift the burden to the petitioners to prove the invalidity of the price advertising ban under the First Amendment can not be squared with the fact that no such exception appears in the application to regulation of alcoholic beverages of other constitutional provisions, including the Commerce Clause and the Establishment Clause.

⁶ This is not to say that the Free Speech Clause and the Establishment Clause operate in an identical fashion. See, *Lee v. Weisman*, ___ U.S. ___, 112 S. Ct. 2649, 2647 (1992). However, the Court has not recognized a hierarchy in the clauses whereby one is entitled to more weight than the other.

California v. LaRue and the later cases of *Doran v. Salem Inn, Inc.*, 422 U.S. 922, (1975) and *New York State Liquor Authority v. Bellanca, supra*, should be limited to their particular peculiar circumstances. In those cases, the Court upheld under the Twenty-first Amendment the states' power to ban *nude dancing on licensed premises* because it was upholding a licensing provision rather than a regulation of communication.

In *LaRue* . . . we concluded that the broad powers of the States to regulate the sale of liquor, conferred by the Twenty-first Amendment, outweighed any First Amendment interest in nude dancing and that a State could therefore ban such dancing as a part of its liquor license program. *Doran v. Salem Inn, Inc., supra*, 422 U.S. at 932-933.

While nude dancing has some communicative aspect, it is also conduct with a concomitant risk of provoking or facilitating illegal activity on the licensed premises. The Court's opinion graphically described "numerous incidents of legitimate concern:"

Customers were found engaging in oral copulation with women entertainers; customers engaged in public masturbation; and customers placed rolled currency either directly into the vagina of a female entertainer, or on the bar in order that she might pick it up herself. Numerous other forms of contact between the mouths of male customers and the vaginal areas of female performers were reported to have occurred. Prostitution occurred in and around such licensed premises, and involved some of the female dancers. Indecent exposure to young girls, attempted rape, rape itself, and assaults on police officers took place on or immediately adjacent to such premises. 409 U.S. at 111.

This Court has never held that the Twenty-first Amendment would justify a ban on pure speech on licensed premises.⁷ Instead, the Court minimized the communicative aspect of the performances by describing them as "gross sexuality." 409 U.S. at 118. Plainly, the Court was concerned with the conduct rather than communication in *LaRue*.

[A]s the mode of expression moves from the printed page to the commission of public acts that may themselves violate valid penal statutes, the scope of permissible state regulations significantly increases. States may sometimes proscribe expression that is directed to the accomplishment of an end that the State has declared to be illegal when such expression consists, in part, of "conduct" or "action." 409 U.S. at 117.

In contrast here, Rhode Island is attempting to ban speech that occurs off the licensed premises, and does no more than convey helpful, accurate information about a lawful product.

B. The Court Of Appeals Improperly Reversed The Allocation Of The Burden Of Proof Mandated By This Court.

Shortly before the decision of the Court of Appeals was announced, this Court reemphasized that "[c]ommercial speech that is not false, deceptive, or misleading can be restricted, but only if the State shows that the restriction directly and materially advances a substantial state

⁷ Ironically, considering the Appeals Court's reliance upon *LaRue*, the speech Rhode Island seeks to ban off the licensed premises, communication about prices, is permitted on the licensed premises.

interest in a manner no more extensive than necessary to serve that interest." *Ibanez v. Florida Dept. of Business and Professional Regulation*, *supra*, ___ U.S. ___, 114 S. Ct. at 2088 (1994). The Court of Appeals, probably influenced by "the presumption based upon the Twenty-first Amendment" (App. 9), not only failed to follow that decision and the earlier decisions upon which it was based, it disregarded the District Court's findings of fact. In improperly making its own "election among conflicting facts," and choosing "which competing inferences to draw from undisputed basic facts," *Irons v. Federal Bureau of Investigation*, 811 F.2d 681, 684 (1st Cir. 1987), the Court of Appeals did not give the District Court's findings of fact the deference to which they were entitled under the proper standard of review, *Anderson v. City of Bessemer City*, 470 U.S. 564, 573-574 (1985), and affectively reversed the allocation of the burden of proof mandated by this Court.

The Court of Appeals did recite that the "burden is on the party seeking suppression, here the State" to prove that the regulation of commercial speech "directly advances" the asserted governmental interest. (App. 5); *Edenfield v. Fane*, ___ U.S. ___, 113 S. Ct. 1792, 1803 (1993). However, in deciding that the District Court was not "free to choose" between competing factual contentions, (App. 6), the Court of Appeals gave the restriction on commercial speech presumptive validity, put the burden of proving invalidity on the petitioners and took a giant step back from the strictures imposed by this Court on the regulation of commercial speech.

The State's burden is not slight; the "free flow of commercial information is valuable enough to justify imposing on would-be regulators the costs of distinguishing the truthful from the

false, the helpful from the misleading, and the harmless from the harmful." *Zauderer, supra*, 471 U.S., at 646, 105 S. Ct., at 2279. "[M]ere speculation or conjecture" will not suffice; rather the State "must demonstrate that the harms it recites are real and that its restriction will in fact alleviate them to a material degree." *Edenfield, supra*, at ___, 113 S. Ct., at 1800; see also *Zauderer, supra*, 471 U.S., at 648-649, 105 S. Ct., at 2280-2281 (State's "unsupported assertions" insufficient to justify prohibition on attorney advertising; "broad prophylactic rules may not be so lightly justified if the protections afforded commercial speech are to retain their force"). *Ibanez v. Florida Dept. of Business and Professional Regulation, supra*, 114 S. Ct. at 2089.

Despite the freshness of that declaration and the clear pronouncements of this Court that preceded it, by accepting the state's rationale without requiring affirmative proof, the Court of Appeals required the petitioners to show affirmatively that the state's regulation did not advance its interest in reducing consumption of alcoholic beverages to a material degree, thereby effectively reversing the state's burden of proof under *Central Hudson*.

C. Rhode Island's Ban On Advertising The Price At Which Retailers Sell Alcoholic Beverages Does Not Directly Advance Its Interest In Promoting Temperance To A Material Degree Thereby Failing The Third Part Of The Central Hudson Test.

Under *Central Hudson* there must be an "immediate connection" between the government's interest and the prohibition on speech. If the connection is "tenuous" or "highly speculative" the prohibition is invalid. 447 U.S. at 569. A prohibition on commercial speech is not valid if it

provides only "ineffective or remote support for the government's purpose." 447 U.S. at 564. Last year the Court saw fit to reemphasize the point. "[A] governmental body seeking to sustain a restriction on commercial speech must demonstrate that the harms it recites are real and that its restriction will in fact alleviate them to a material degree." *Edenfield v. Fane*, *supra*, 113 S. Ct. at 1800. It did so again in *Ibanez*, *supra*, emphasizing that "[t]he State's burden is not slight." 114 S. Ct. at 2089.

The only governmental interest offered in support of Rhode Island's price advertising ban is the promotion of temperance, which the Rhode Island Supreme Court has defined as "reducing the consumption of liquor." *S & S Liquor Mart, Inc. v. Pastore*, *supra*, 497 A.2d at 734 (1985). The only connection posited between the price advertising ban and the state's interest is the prevention of "price wars," which would produce lower prices that would, in the state's unsupported view, stimulate consumption.

The essence of the Court of Appeals' reason for permitting Rhode Island to stifle "the free flow of commercial information," and the essence of its misapprehension of the law, is in its holding that the District Court could not find the statute unconstitutional "in the absence of any affirmative contradiction [to the State's hypothesis] to rely on." (App. 7). To the contrary, not only did the state fail to carry its burden *to prove* that the restriction promoted its interest in temperance "*to a material degree*," *Edenfield v. Fane*, *supra*, 113 S. Ct. at 1803 quoted in *Ibanez*, *supra*, 114 S. Ct. at 2089 [emphasis added], the petitioners' evidence convinced the District Court that "Rhode Island's off-premises liquor price advertising ban has no significant impact on levels of alcohol consumption in Rhode Island." 44 *Liquormart, Inc. v. Racine*, *supra*, (App.

31). Indeed, there is no empirical evidence in the record to support the conclusion that Rhode Island's price advertising ban has had a material effect on its asserted goal. *Ibanez v. Florida Dept. of Business and Professional Regulation, supra*, 114 S. Ct. at 2089. That proposition is refuted by the fact that Rhode Island was in the top 30 percent of states in per capita consumption with the ban in place!⁸ 44 *Liquormart, Inc. v. Racine, supra*, (App. 23).

One way of measuring the "immediate connection" between the government's interest and its prohibition of speech, which was ignored by the Court of Appeals, is to examine the degree to which the state attempts to further its asserted goal through regulation. Rhode Island does not regulate all, or even any, advertising of alcoholic beverages other than price advertising. This underinclusion emphasizes the lack of connection between the regulation and the proffered governmental interest.

By their own terms, therefore, the State's regulatory aims in this area are narrow. Although a state regulatory scheme obviously need not amount to a comprehensive attack on the problems of alcohol consumption to constitute a valid exercise of state power under the Twenty-first Amendment, the selective approach Oklahoma has taken toward liquor advertising suggests limits on the substantiality of the interests it asserts here. *Capital Cities Cable, Inc. v. Crisp, supra*, at 715.

That Rhode Island leaves the alcoholic beverages industry free to employ a wide variety of advertising techniques underscores the tenuous connection between

⁸ The Court of Appeals did not acknowledge this salient fact.

its asserted interest and the prohibition on price advertising. In *City of Cincinnati v. Discovery Network, Inc.*, ___ U.S. ___, 113 S. Ct. 1505 (1993) the Court stressed that underinclusion vis-a-vis the asserted interest supports finding a restriction of commercial speech to be invalid.

The fact that the regulation "provide[d] only the most limited incremental support for the interest asserted" . . . – that it achieved only a "marginal degree of protection" . . . for that interest – supported our holding that the prohibition was invalid. 113 S. Ct. at 1515 [citations omitted].

Edenfield v. Fane, *supra*, strengthens the argument that the fact that Rhode Island permits virtually all advertising, while restricting only advertising of prices, shows that the price advertising ban is not substantially related to the asserted interest in temperance.

The State has identified certain interests in regulating solicitation in the accounting profession that are important and within its legitimate power, but the prohibitions here do not serve these purposes in a direct and material manner. *Where a restriction on speech lacks this close and substantial relation to the governmental interests asserted, it cannot be, by definition, a reasonable time, place, or manner restriction.* 113 S. Ct. 1801-1802 [Emphasis added].

The Court of Appeals disregarded the district judge's findings of fact because it thought the state's position had "inherent merit." (App. 7). But given the fact that Rhode Island, with its price advertising ban in effect for thirty-four years, was indisputably in the top thirty percent of states in per capita alcohol consumption, the effect on consumption could be no more than marginal. The Court of Appeals' logic is no more than a hypothesis that does

not fit the facts. The price advertising ban does not materially advance the asserted interest of Rhode Island, and the state has failed to demonstrate a "reasonable 'fit' between the legislature's ends and the means chosen to accomplish those ends." *Board of Trustees of State Univ. of New York v. Fox*, 492 U.S. 469, 480 (1989).

It is superficially appealing to speculate, as did the Court of Appeals, that consumption may be promoted by lower prices that could result from price advertising. (App. 7). However, without some evidence to show a real and material effect, the *Central Hudson* test is not satisfied. Moreover, common sense dictates that if the state's theory is correct, there should be empirical evidence to support it. Our experts showed that there are many intervening variables between price advertising and consumption, such as differences in drinking attitudes and customs, which are the most important determinants of drinking behavior, so a direct link can not be made. 44 *Liquormart, Inc. v. Racine*, *supra* (App. 27).

The fact that Rhode Island is in the top 30 percent of states in per capita alcohol consumption, with its price advertising ban in place for thirty-four years, is fully consistent with the findings of several governmental agencies that have looked at the relationship between price or advertising and consumption. In 1964, the Moreland Commission was appointed by the governor of New York to study that State's minimum price requirement for liquor. The Commission found that "[t]he argument that high prices promote temperance in that they keep liquor out of the hands of those who should not have it is unfounded." New York State Moreland Commission on the Alcoholic Beverage Control Law, *Report and Recommendations No. 3*, 17, January 21, 1964. The Commission

compared states in which prices were high with states in which prices were low. Annual arrests for drunkenness, drunk driving, rates of alcoholism, and rates of alcohol-related first mental hospital admissions were examined to find no relationship between consumption patterns in the "low" and "high" price states. *Id.* at 18-19. The Commission concluded "artificially high prices for liquor have no substantial relationship to temperance. They serve merely to insure the profit margins of the various segments of the industry."⁹ *Id.* at 19.¹⁰ In 1985, the Federal Trade Commission found "no evidence to believe alcohol advertising significantly affects alcohol abuse." 44 *Liquormart v. Racine*, *supra* (App. 24).

Despite its proffered concern with promoting temperance, Rhode Island permits all forms of advertising which tries to directly stimulate the desire to consume a particular brand of alcoholic beverage. Consumers are denied only price information. As the Rhode Island Supreme Court humorously put it: "Rhode Islanders' thirst for alcoholic-beverage advertising will have to be quenched through the electronic and print media constantly reminding them of such thoughts as 'This Bud's for you' or 'It's Miller Time.' " *S & S Liquor Mart, Inc. v.*

⁹ Thus is manifested the interest of the Rhode Island Liquor Stores Association in preserving high profit margins at the expense of consumers under the guise of promoting temperance.

¹⁰ The Moreland Commission Report has been noticed by several courts in ruling on alcoholic beverages related issues. 324 *Liquor Corp. v. Duffy*, 479 U.S. 335, 348, 351 fn.13 (1987), *Michigan Beer & Wine Wholesalers Association v. Attorney General*, *supra*, 370 N.W.2d at 336; *Rice v. Alcoholic Beverage Control Appeals Bd.*, 21 Cal. 3d 431, 457 (1978); *Seagram & Sons v. Hostetter*, 16 N.Y.2d 47 (1965).

Pastore, 497 A.2d 729, 734 (1985). A consumer who has thereby been persuaded that it is "Miller time" and sets out to buy a six-pack will be able to check the advertisements and find many places where Miller beer is sold, but not know which one offers the best price. Common sense says that this will not dissuade the purchase, but only enable retailers to maintain high margins at the consumer's expense. Rhode Island's expert presented no empirical data to the contrary.

In asserting that "advertising must be generally productive or so much money would not be spent on it" the Court of Appeals did not consider two salient facts: expenditures on alcoholic beverages advertising have been steadily increasing, while consumption has been steadily decreasing; and, Rhode Island, with its price advertising ban in place for many years, is in the top 30 percent of states in per capita consumption. 44 *Liquormart v. Racine*, *supra*, (App. 23). The state just did not present any evidence that its ban on price advertising had any material influence on the level of consumption. Moreover, "so much money" is spent on the kind of advertising campaigns, such as "this Buds for you" and "it's Miller time," that are permitted in Rhode Island. Those campaigns are directed toward increasing sales of the advertiser's brands at the expense of competitor's brands.¹¹

¹¹ The assumption that the alcoholic beverages industry would not spend money on advertising unless it generated increased consumption underlies all the cases upholding advertising bans. Those courts do not appreciate the fact that advertising influences a person who has already decided to buy an alcoholic beverage in choosing which brand to buy. In a "mature market," such as the market for alcoholic beverages, the purpose and effect of a particular company's advertising is to

Retailers like the petitioners want to advertise their prices to increase their share of the market of those who have already decided to consume, but not selected where they will acquire the product. 44 *Liquormart v. Racine*, *supra*, (App. 30). Consequently, Rhode Island turns the logic of its position upside down by banning only that advertising least likely to increase sales, while permitting advertising most likely directed at increasing sales. Surely, it cannot be said that the District Court's finding that the price advertising ban has no material effect on consumption is clearly erroneous. *Anderson v. City of Bessemer City*, *supra*.

Beyond the fact that the findings of the District Court are not clearly erroneous, so that no connection has been shown between price advertising and consumption, the price advertising ban is, at best, theoretically only indirectly related to the promotion of temperance, and thus does not satisfy the third part of the *Central Hudson* test. A direct relationship is manifested when there is something about the content or particular adverse effect of the commercial speech that is a harm to the public interest legitimately to be avoided. As the Court noted in *Central Hudson*, "in recent years this Court has not approved a blanket ban on commercial speech *unless the expression itself was flawed in some way, either because it was deceptive or related to unlawful activity*" 447 U.S. at 566, n. 9 [emphasis added].

encourage consumers to choose that brand, not to increase general consumption of the generic product. M. J. Waterson, ADVERTISING BRANDS AND MARKETS, 19 (Advertising Ass'n Monograph, 2nd ed. 1985). If advertising takes a customer away from a competitor's product it is money well spent, although it does not increase overall consumption by so much as one bottle.

In this case, the state's argument manifests the indirect nature of the price advertising ban's purported effect on temperance. Rhode Island does not argue, and certainly has not proven, that price advertising itself stimulates consumption. Price advertising inherently only informs the public of the price at which the advertiser is offering alcoholic beverages for sale. As such, it has no particular adverse effect that causes harm. Under the state's attenuated reasoning, price advertising itself is not harmful, it is merely a means of facilitating the "price wars" which the state believes might occur and might have the effect of lowering an "artificial price floor" that might result from the public's ignorance of retail prices might increase consumption. Therefore, the regulation is not "aimed at either the content of the speech or the particular adverse effects stemming from that content."

D. Rhode Island's Ban On Advertising The Price At Which Retailers Sell Alcoholic Beverages Is More Extensive Than Necessary To Serve The State Interest In Promoting Temperance.

The final part of the *Central Hudson* test requires the state to demonstrate that its restriction on commercial speech is "not more extensive than is necessary to serve" the state's interest. 447 U.S. at 566. The test has been articulated as requiring the proponent of a restriction on commercial speech to prove a "reasonable 'fit' between the legislature's ends and the means chosen to accomplish those ends." *Board of Trustees of State Univ. of New York v. Fox, supra*, 492 U.S. at 480. The Court has most recently explained that a rational basis test, advanced by the state and adopted by the Court of Appeals, is *not* to

be applied when deciding the constitutionality of restrictions on commercial speech.¹²

[W]hile we have rejected the "least-restrictive-means" test for judging restrictions on commercial speech, so too have *we rejected mere rational basis review*. A regulation need not be "absolutely the least severe that will achieve the desired end," *Fox, supra*, 492 U.S., at 480, 109 S. Ct., at 3035, but if there are numerous and obvious less-burdensome alternatives to the restriction on commercial speech, that is certainly a relevant consideration in determining whether the "fit" between ends and means is reasonable. *City of Cincinnati v. Discovery Network, Inc., supra*, 113 S. Ct. 1510, fn.13 [emphasis added].

Because there is nothing inherently bad about truthfully informing the public of the price at which lawful commodities are offered for sale, the only justification for the advertising ban is to keep prices above "an artificial price floor," a result Rhode Island could directly accomplish without any restriction on speech by mandating minimum consumer prices or increasing its tax on alcoholic beverages. Since, if this were really its goal, the state could fully accomplish it without restricting speech at all, *i.e.*, in a manner obviously less-burdensome to free expression, it is self evident that its ban on price advertising is more extensive than is necessary. The Court of Appeals' decision authorizes government to make a "reasonable choice" to covertly manipulate citizens' consumption patterns by withholding relevant, truthful,

¹² The Appeals Court held that the state need not prove the "correctness" of its position, only its "reasonableness." Slip Op. at 6.

product information when it could fully accomplish its objective of preventing price wars without any restriction on speech. However, this Court "demand[s] a higher level of rationality when you're prohibiting the conveying of information." *Bentsen v. Coors Brewing Company*, No. 93-1631, Transcript of Oral Argument, November 30, 1994, p.10 (Scalia, J.).

E. The Court Of Appeals Conflicted With The Decisions Of This Court In Ruling That Rhode Island May Ban Advertisement By Out Of State Retailers Of Alcoholic Beverages.

In the case of its prohibition against newspapers and other communications media accepting out of state price advertisements, Rhode Island bans accurate speech related to lawful activity that not only occurs off licensed premises, but concerns the sale of products outside its jurisdiction. The Twenty-first Amendment does not empower the states to regulate economic activity beyond their borders.

New York has a valid constitutional interest in regulating sales of liquor within the territory of New York. Section 2 of the Twenty-first Amendment, however, speaks only to state regulation of the "transportation or importation into any State . . . for delivery or use therein" of alcoholic beverages. That Amendment, therefore, gives New York only the authority to control sales of liquor in New York, and confers no authority to control sales in other States. *Brown-Forman Distillers Corporation v. New York State Liquor Authority*, *supra*, 476 U.S. at 585.

See, also, Healy v. The Beer Institute, supra.

Contrary to the decision of the Court of Appeals, (App. 10-12), Rhode Island may not justify its out of state

price advertising ban on the ground that it is attempting to protect its citizens from the intemperant influence of lower liquor prices in other states.

A State does not acquire power or supervision over the internal affairs of another State merely because the welfare and health of its own citizens may be affected when they travel to that State. It may seek to disseminate information so as to enable its citizens to make better informed decisions when they leave but *it may not, under the guise of exercising internal police powers, bar a citizen of another State from disseminating information about an activity that is legal in that State.* *Bigelow v. Virginia*, 421 U.S. 809, 824-825 (1975) [emphasis added].

Incredibly, the Court of Appeals justified Rhode Island's ban on price advertising by out of state retailers with the *non sequitur* "if a party wishes to come into a state and do business, to some extent at least, it should be subject to the same regulations as are its local counterparts." (App. 10-11). Not only does this pronouncement sanction "economic protectionism" as a legitimate reason for banning out of state business solicitation, the Court of Appeals erred by not measuring the price advertising ban against the reason offered by the state to justify it: preventing price wars among Rhode Island retailers.

Despite the suggestion of the Court of Appeals, (App. 10-12), our argument is based upon the application of the First Amendment and not upon application of the Commerce Clause. Under the *Central Hudson* analysis, the state must justify regulating commercial speech by showing how its regulation will alleviate real harms in that state to a material degree. The justification for the price advertising ban advanced by the state simply disappears when applied to the ban on communications media

accepting advertisements for out of state retailers. Advertisements of out of state prices cannot promote price wars within Rhode Island. While Rhode Island's hidden agenda is likely to be to protect its retailers from competition in other states, such "economic protectionism" is impermissible.¹³ *Bacchus Imports, Ltd. v. Dias, supra*. Although the Court of Appeals made an issue of finding petitioners' claims under the Commerce Clause waived, (App. 11-12), it missed the point that the Commerce Clause made Rhode Island's objective of regulating out of state conduct by its citizens illegitimate, thereby invalidating its regulation of price advertising under the First Amendment.

CONCLUSION

The United States Court of Appeals for the First Circuit improperly held, in conflict with the Fifth Circuit, that the Twenty-first Amendment gives an added presumption of validity to a state's ban on advertising the price at which a retailer sells alcoholic beverages. It permitted a restriction on speech to stand in the face of substantial evidence of, and findings by the District Court that, the restriction did not materially advance the state's interest and was more burdensome than necessary when the state's interest could be fully served without restricting speech at all. The petitioners respectfully submit that their petition for a *Writ of Certiorari* to the United

¹³ The Rhode Island Supreme Court would go only so far as to find "some doubt concerning the nexus between §3-8-8.1 and the asserted state interests" in promoting temperance. *Rhode Island Liquor Stores Association v. Evening Call Pub. Co.*, 497 A.2d 331, 338 (1985).

States Court of Appeals for the First Circuit should be granted.

By their attorney,

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UNITED STATES COURT OF APPEALS
For the First Circuit

No. 93-1893

44 LIQUORMART, INC. AND
PEOPLES SUPER LIQUOR STORES, INC.,
Plaintiffs, Appellees,

v.

STATE OF RHODE ISLAND,
Defendant, Appellee,
RHODE ISLAND LIQUOR STORES ASSOCIATION,
Intervenor, Appellant.

No. 93-1927

44 LIQUORMART, INC. AND
PEOPLES SUPER LIQUOR STORES, INC.,
Plaintiffs, Appellees,

v.

STATE OF RHODE ISLAND,
Defendant, Appellant.

APPEALS FROM THE
UNITED STATES DISTRICT COURT
FOR THE DISTRICT OF RHODE ISLAND

[Hon. Raymond J. Pettine,
Senior U.S. District Judge]

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Before

Cyr, Circuit Judge,
Aldrich, Senior Circuit Judge,
and Stahl, Circuit Judge.

Lauren E. Jones with whom Caroline C. Cornwell, Jones Associates, William P. Gasbarro and Robert M. Brady were on brief for Rhode Island Liquor Stores Association.

Rebecca Tedford Partington, Special Assistant Attorney General, with whom Jeffrey B. Pine, Attorney General, was on brief for State of Rhode Island.

Evan T. Lawson with whom Lawson & Weitzen was on brief for plaintiffs-appellees.

October 24, 1994

ALDRICH, *Senior Circuit Judge*. The State of Rhode Island, that did not ratify the Eighteenth Amendment, and was among the earliest to ratify the Twenty-First that repealed it, in 1956 adopted two statutes, assertedly aimed at promoting temperance, forbidding advertising the price of intoxicating liquor, except at the place of sale if sold within the state. The "declared purpose is the promotion of temperance and for the reasonable control of the traffic in alcoholic beverages." R.I. Gen. Laws § 3-1-5.

R.I. Gen. Laws § 3-8-7 provides,

3-8-7. Advertising price of malt beverages, cordials, wine or distilled liquor. – No manufacturer, wholesaler, or shipper from without

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this state and no holder of a license issued under the provisions of this title and chapter shall cause or permit the advertising in any manner whatsoever of the price of any malt beverage, cordials, wine or distilled liquor offered for sale in this state; provided, however, that the provisions of this section shall not apply to price signs or tags attached to or placed on merchandise for sale within the licensed premises in accordance with rules and regulations of the department.

Section 3-8-8.1, *post*, enlarges this language to forbidding making "reference to the price of any alcoholic beverage,"¹ that defendant Rhode Island Liquor Control Administrator, a strict enforcer, construes as including remote references such as "WOW!"

In this action plaintiffs, 44 Liquormart, Inc. and Peoples Super Liquor Stores, Inc., having sufficient standing to attack these statutes in every particular, seek a declaration against the Administrator (hereinafter the State) of unconstitutionality as contravening the First Amendment. Rhode Island Liquor Stores Association (Association) has intervened as a party defendant. After a bench trial, in an extensive opinion the court found for plaintiffs. Defendants appeal. They succeed with respect to limiting advertising by Rhode Island vendors.

The stage it set below is described by the State.

[T]he advertising ban directly advanced the governmental interest by increasing the cost of alcoholic beverages, thereby lowering the

¹ See also Liquor Control Adm. Reg. 32.

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amount of alcohol consumption by residents of the State of Rhode Island. . . . [T]he State's power to totally ban any advertising about alcoholic beverages necessarily included the lesser power to restrict price advertising.

Further, the State contended that plaintiffs, in order to rely on the First Amendment, must "prove that the four part *Central Hudson* test could not be met."

Association, a group of small liquor stores, whose intervention as a co-defendant was not opposed by the State, alleged as its ground for intervening that if advertising of prices were to be allowed, its members "would be obliged to participate in the advertising arena and would be at a definite disadvantage when matched up against retailers who hold multiple licenses." This complaint was later bolstered by adding that competitive price advertising would tend to lower prices, and that "a more competitive market for alcohol might be considered an undesirable goal."

We start with the four issues that *Central Hudson* raises when a state's interest conflicts with the rights of a would-be commercial speaker.

At the outset, we must determine whether the expression is protected by the First Amendment. [I] For commercial speech to come within that provision, it at least must concern lawful activity and not be misleading. [II] Next, we ask whether the asserted governmental interest is substantial. If both inquiries yield positive answers, we must determine [III] whether the regulation directly advances the governmental interest asserted, and [IV] whether it is not more extensive than is necessary to serve that interest.

Central Hudson Gas & Electric Corp. v. Public Service Commission of New York, 447 U.S. 557, 566 (1980). The ultimate purpose is to weigh "the expression [and] the governmental interests served by its regulation." *Id.* at 563.

I. In the present case the first test raises no question. II. For the second it was stipulated, "The State of Rhode Island has a substantial interest in regulating the sale of alcoholic beverages." Plaintiffs concede that promoting temperance is such an interest. The dispute, accordingly, is whether forbidding price advertising "directly advances" temperance, and "is not more extensive than is necessary." There is a further question with regard to local advertising by an out-of-state vendor.

III. "Directly advances." We start with the burden of proof. The burden is on the party seeking suppression, here the State. *Edenfield v. Fane*, 113 S. Ct. 1792, 1800 (1993). But to what extent? The district court held that it was an issue for it to decide, unfettered, between competing witnesses, and since, on its weighing the evidence, the court was not persuaded that the State was correct, it failed. We do not think the burden that strict. It is not correctness, it is reasonableness.

In the first place, the term "directly advances" is not absolute. *Edenfield*, 113 S. Ct. at 1800 ("alleviate to a material degree"); *Trustees of the State University of New York v. Fox*, 492 U.S. 469, 480 (1989) ("reasonable fit"). See also *Posadas de Puerto Rico Assoc. v. Tourism Co.*, 478 U.S. 328, 342 (1986) ("reasonable"). And while the state has the burden, in *California v. LaRue*, 409 U.S. 109, 118-19 (1972), the Court spoke of "the added presumption in favor of the validity of the state regulation in this area

that the Twenty-First Amendment requires." Historically the state has failed where the evidence was "at most, tenuous," *Central Hudson*, 447 U.S. at 569; "unsupported assertions: nowhere does the State cite any evidence or authority of any kind," *Zauderer v. Office of Disciplinary Counsel*, 471 U.S. 626, 648 (1985); lack of studies or "anecdotal evidence," *Edenfield*, 113 S. Ct. at 1800. Warrantable inferences, however, may be sufficient. *Posadas*, 478 U.S. at 341-42 (advertising). What should a court do when there is no empirical² evidence either way, and expert opinions go both ways? Even plaintiffs' expert, whom the court credited, admitted that "advertising has cumulative effects that are difficult to detect in studies, and that research studies have been varied and equivocal because it is a difficult topic to research." Should the court be free to choose?

IV. Before answering these questions we observe that the "not more extensive than is necessary" inquiry is subject to the same considerations. *Re R.M.J.*, 455 U.S. 191, 207 (1982) ("reasonably necessary"). The district court did not deal with this directly, except to note the concession of the State's expert that "the objective of lowering consumption of alcohol by banning price advertising could be accomplished by establishing minimum prices and/or by increasing sales taxes on alcoholic beverages." This is not an answer; the State is entitled to a reasonable choice. This includes choice of method – it is not obliged to prove that some other method, e.g., taxation, would be less effective. *Cf. Fox*, 492 U.S. at 478.

² This word is a summary of the court's findings that such studies as were offered were too inconclusive to be relied on.

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Returning to our questions, there would seem inherent merit in the State's contention that competitive price advertising would lower prices, and that with lower prices there would be more sales. We would enlarge on this. There are doubtless many buyers whose consumption is sometimes measured by their free money. If a buyer learns that plaintiffs charge less, is he not likely to go there, and then buy more? Correspondingly, if ignorant of lower prices elsewhere, will he not tend to buy locally, at the higher price, and thus buy less? See Stanley I. Ornstein and Dominique M. Hanssens, *Alcohol Control Laws and the Consumption of Distilled Spirits and Beer*, 12 J. Consumer Res. 200 (September 1985). Further, if Association members would fight plaintiffs' advertised prices, as they presage, by lowering their own, then, again, might there not be more buys?

Even plaintiffs' witness Smart conceded that some believed this inference reasonable.

What I'm aware of are studies that show that people generally decide how much money they have to spend on alcoholic beverages per week or per month. Then they tend to spend that amount, and if they can spend it in one way, they'll do it and in another way they'll do that as well.

Advertising must be generally productive, or so much money would not be spent on it. *Posadas*, 478 U.S. at 341-42; *Oklahoma Telecasters Ass'n v. Crisp*, 699 F.2d 490, 501 (10th Cir. 1983), *rev'd on other grounds sub nom Capital Cities Cable, Inc. v. Crisp*, 467 U.S. 691 (1984). We do not consider, in the absence of any affirmative contradiction to rely on, that the district court was free to hold it

unreasonable. In addition, the presumption based upon the Twenty-First Amendment, *LaRue, supra*, seems precisely in order.

Parenthetically, the State contends this discussion to be unnecessary in view of the Court's action, 459 U.S. 807 (1982), dismissing an appeal, "for want of substantial federal question," from the decision in *Queensgate Investment Co. v. Liquor Control Commission*, 69 Ohio St.2d 361 (1982), a price advertising limitation case. The district court rejected this contention because of a "different factual predicate," and because "a summary dismissal lacks a reasoned opinion." As to the latter, it is settled that such action has precedential [sic] effect, although not necessarily on the identical reasoning of the court. *Mandel v. Bradley*, 432 U.S. 173, 176 (1977). As to facts, the Ohio case involved a statute similar to the one at bar. Defendant restaurant advertised, in a circular, 50 cent drinks – a markdown – with meals. We see no relevant factual distinction.

The Ohio court, recognizing that commercial speech was entitled to some protection, pursued the four *Central Hudson* tests and found that the statute was "not unreasonable" in light of the Twenty-First Amendment's authorization to curb the evils of alcoholic beverages. 690 Ohio St.2d at 366. It concluded as follows.

The regulation is directed toward regulation of the intoxicants themselves, rather than speech. This is unlike the case, e.g., in [*Virginia State Board of Pharmacy v. Virginia Citizens Consumer Council, Inc.*, 425 U.S. 748 (1976),] where the speech was the actual focus of the regulation,

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since the aim of the restriction was the prevention of competition in pharmaceutical sales, not the discouragement of pharmaceutical purchases.

Ibid.

Reliance on *Queensgate* as conclusive, however, might raise possible questions. The first is whether the Court would have said there was no federal question if free speech had been curtailed by a regulation clearly unrelated to liquor. We need not answer this because we have found that the State's action was reasonable as a control. But suppose the primary purpose was that eliminated by the *Queensgate* court? On the issue of purpose the State is not helped by its friends. Association's given reason for wanting to intervene as a defendant, that the statute protects the small vendor from the giants, could make logical sense, but might not be a lawful use of the Twenty-First Amendment. Cf. *California Retail Liquor Dealers Ass'n v. Midcal Aluminum, Inc.*, 445 U.S. 97 (1980); *Bacchus Imports, Ltd. v. Dias*, 468 U.S. 263 (1984). We need not resolve this question either, however. There is a burden to rebut the statutes' declared purpose, and plaintiffs have made no attempt. We conclude therefore that, with *Queensgate* or without, plaintiff 44 Liquormart must lose.

Finally, we observe that our conclusion coincides with the Rhode Island court's. *Rhode Island Liquor Stores Ass'n v. Evening Call Pub. Co.*, 497 A.2d 331 (R.I. 1985); *S & S Liquor Mart, Inc. v. Pastore*, 497 A.2d 729 (R.I. 1985). We have not mentioned its decisions hitherto because our obligation is to decide for ourselves. See *Watson v. Estelle*, 886 F.2d 1093, 1095 and n.3 (9th Cir. 1989).

People Super Liquor Stores, a Massachusetts vendor that wishes to advertise its Massachusetts prices in Rhode Island, has a different case. Because of R.I. Gen. Laws § 3-8-8.1 no Rhode Island publisher will accept advertisements.

3-8-8.1. Price advertising by media or advertising companies unlawful. – No newspaper, periodical, radio or television broadcaster or broadcasting company or any other person, firm or corporation with a principal place of business in the state of Rhode Island which is engaged in the business of advertising or selling advertising time or space shall accept, publish, or broadcast any advertisement in this state of the price or make reference to the price of any alcoholic beverages. . . .

By the hypothesis under which we are justifying forbidding price advertising by local vendors, State residents, whose shopping opportunity is thus curtailed, will be more likely to purchase at higher-priced neighborhood outlets and less at lower-priced, viz., discount sellers elsewhere. Insofar as this construction is aimed at foreign sellers, it is a deliberate, and, by hypothesis effective, discrimination and restraint on interstate commerce. Thus we have two questions. One, is the State's interest in health and welfare sufficient to overcome the foreign vendors' right of free speech? Two, if so, are the rights given the State by the Twenty First Amendment sufficient to meet the foreign vendors' further objections under the Commerce Clause?

Viewed simply as free speech, if a party wishes to come into a state and do business, to some extent, at least, it should be subject to the same regulations as are its local

counterparts. While the question may be close, where we are dealing simply with commercial speech, whose rights are limited, *Bigelow v. Virginia*, 421 U.S. 809, 818 *et seq.* (1975), we believe the State health interest, as reinforced by the Twenty First Amendment, should empower the State to restrict foreigners as well. Nor do we find support for the contrary in the *Bigelow* opinion. We read the language relied on by Peoples Super Liquor Stores in the light of the fact that the advertisement contained more than commercial speech. See 421 U.S. at 822; *Friedman v. Rogers*, 440 U.S. 1, 11, n.10 (1979). Here we have no more than commercial.

The serious question is whether the Twenty First Amendment can prevail against the Commerce Clause when the State is deliberately favoring local vendors against foreign enterprise. The full meaning and effect of this Amendment has been much debated. At a minimum it does not do away altogether with the Commerce Clause. Cf. *Hostetter v. Idlewild Bon Voyage Liquor Corp.*, 377 U.S. 324, 331-332 (1964). But, as a matter of dictum, the Court in *Bacchus Imports, Ltd. v. Dias*, 468 U.S. 263, at 276 (1984), has recognized the possibility that a state might discriminate "to promote temperance or to carry out any other purpose of the Twenty First Amendment." We have tentatively explored this question in some depth, and find it difficult.

This raises a problem. The record shows that, initially, Peoples included the Commerce Clause in its contentions. On appeal, it dropped it. While at first we thought that the two principles were so tied together that we should nevertheless consider it, we have concluded that fairness to the State, and, indeed to us, requires that

App. 12

we do not do so without full briefing and argument. Accordingly, we apply the general principle and hold the Commerce Clause waived. *Interface Group, Inc. v. Mass. Port Authority*, 816 F.2d 9, 16 (1st Cir. 1987). Since without it Peoples must fail, the decision below is reversed, with judgment for defendants.

App. 13

UNITED STATES COURT OF APPEALS
FOR THE FIRST CIRCUIT

No. 93-1893

44 LIQUORMART, INC., AND
PEOPLES SUPER LIQUOR STORES, INC.,
Plaintiffs, Appellees,

v.

STATE OF RHODE ISLAND,
Defendant, Appellee,

RHODE ISLAND LIQUOR STORES ASSOCIATION,
Intervenor, Defendant, Appellant.

No. 93-1927

44 LIQUORMART, INC., AND
PEOPLES SUPER LIQUOR STORES, INC.,
Plaintiffs, Appellees,

v.

STATE OF RHODE ISLAND,
Defendant, Appellant.

App. 14

JUDGMENT

Entered: October 24, 1994

These causes came on to be submitted on petitions for rehearing.

Upon consideration whereof, it is now here ordered, adjudged and decreed as follows: The decision of the district court is reversed with judgment for the defendants.

Costs to defendants.

By the Court:
/s/ FRANCIS P. SCIGLIANO
Clerk.

App. 15

ORDER OF COURT

Entered: October 24, 1994

The petition for rehearing filed by Rhode Island Liquor Stores Association and the petition for rehearing by the State of Rhode Island are granted.

The opinion of this court of July 8, 1994 is withdrawn and this court's judgment of July 8, 1994 is vacated.

A new opinion and judgment will issue this date.

By the Court:

/s/ FRANCIS P. SCIGLIANO
Clerk.



ORDER OF THE COURT*

Entered: July 29, 1994

The panel of judges that rendered the decision in this case having voted to deny the petition for rehearing submitted by 44 Liquormart, Inc. and its suggestion for the holding of a rehearing en banc having been carefully considered by the judges of the Court in regular, active service and a majority of said judges not having voted to order that the suggestion for rehearing en banc submitted by 44 Liquormart, Inc., be granted,

It is ordered that the petition for rehearing and the suggestion for rehearing en banc submitted by 44 Liquormart, Inc., be denied.

By the Court:
/s/ FRANCIS P. SCIGLIANO
Clerk.

*Chief Judge Stephen Breyer did not participate.

App. 17

**44 LIQUOR MART, INC. and People's
Super Liquor Stores, Inc.,
Plaintiffs,**

v.

**Kate F. RACINE, in her capacity
as Rhode Island Liquor Control
Administrator, Defendant,**

and

**Rhode Island Liquor Stores Association,
Intervenor-Defendant.**

Civ. A. No. 92-0115 P.

**United States District Court,
D. Rhode Island.**

Aug. 10, 1993.

Liquor retailers brought action challenging state statutes prohibiting off-premises advertising of prices at which liquor stores sold alcoholic beverages. The District Court, Pettine, Senior District Judge, held that: (1) Twenty-first Amendment did not require modification of either level or allocation of burden of proof in commercial speech case involving regulation of sale of alcoholic beverages, and (2) state failed to establish that advertising ban directly advanced its interest in reducing alcohol consumption or that ban was not more extensive than necessary to serve such interest.

Ordered accordingly.

**Barry J. Kusinitz, Corrente, Brill & Kusinitz, Providence
RI, Evan T. Lawson, Lawson & Weitzen, Boston, MA, for
plaintiffs.**

Rebecca Tedford Partington, RI Atty. General's Office, Providence, RI, for defendant Racine.

William Gasbarro, Robert M. Brady, E. Providence, RI, for intervenor-defendant RI Liquor Stores.

MEMORANDUM AND ORDER

PETTINE, Senior District Judge.

The case presents the question whether R.I.G.L. §§ 3-8-7¹ and 3-8-8.1,² and Regulation 32 of the Rhode

¹ R.I.G.L. § 3-8-7 controls price advertising by licensees. It provides:

No manufacturer, wholesaler, or shipper from without this state and no holder of a license issued under the provisions of this title and chapter shall cause or permit the advertising in any manner whatsoever of the price of any malt beverage, cordials, wine or distilled liquor offered for sale in this state; provided, however, that the provisions of this section shall not apply to price signs or tags attached to or placed on merchandise for sale within the licensed premises in accordance with rules and regulations of the department. (emphasis added).

² R.I.G.L. § 3-8-8.1 controls the acceptance of price advertising by Rhode Island communications media and provides as follows:

No newspaper, periodical, radio or television broadcaster or broadcasting company or any other person, firm or corporation with a principal place of business in the state of Rhode Island which is engaged in the business of advertising or selling advertising time or space shall accept, publish, or broadcast any advertisement in this state of the price or make reference to the price of any alcoholic beverages. Any person who shall violate any of the provisions of this section shall be guilty of a misdemeanor and shall be punished for the first offense by a fine in

Island Liquor Control Administration,³ which collectively prohibit off-premises advertising of the prices at which liquor stores sell alcoholic beverages, violate the First Amendment to the United States Constitution. Jurisdiction is premised on 28 U.S.C. § 1331 and 42 U.S.C. § 1983.

For the reasons stated below, I hold these provisions invalid as an unconstitutional burden upon protected commercial speech.

I. BACKGROUND

Plaintiff 44 Liquor Mart, Inc. ("44 Liquor Mart"), a Rhode Island corporation located in Johnston, Rhode Island, is a licensed retail alcohol dealer. Plaintiff People's

the sum of fifty dollars (\$50) and for each additional offense thereafter by a fine not exceeding the sum of one hundred dollars (\$100). Publication or broadcast by any person in violation of the provisions of this section shall also be subject to injunctive proceedings in a court of competent jurisdiction on a complaint brought by a retail licensee, or an association of retail licensees.

The provisions of this section shall not apply to any trade journal which is duly recognized and authorized to be exempt from the provisions of this section by the liquor control administrator. (emphasis added).

³ Regulation 32 of the Rules and Regulations of the Liquor Control Administrator was enacted to "enforce" the provisions of § 3-8-7. It provides, in pertinent part:

No placard or sign of any kind which is visible from the exterior of any Class A [package store] premises licensed to sell at retail shall make reference to the price of any alcoholic beverage or mixture of alcoholic beverages.

Super Liquor Stores, Inc. ("People's"), a Massachusetts corporation, is a retail dealer of alcoholic beverages operating retail stores in New Bedford and Fairhaven, Massachusetts.

Defendant Kate F. Racine held the position of Liquor Control Administrator for the State of Rhode Island at the time this action was commenced. Anthony Arico currently holds the title of Acting Liquor Control Administrator. Intervenor-Defendant Rhode Island Liquor Stores Association is a trade group of small retail liquor stores in Rhode Island.

On December 17, 1991, Racine held a hearing to determine whether 44 Liquor Mart had violated R.I.G.L. § 3-8-7 and Liquor Control Administration Regulation 32, which prohibit off-premises advertising of alcohol beverage prices, by placing an advertisement headed "Thanksgiving Harvest" (Plaintiffs' Ex. 4) in a December 1991 edition of the *Providence Journal-Bulletin*, a daily newspaper in Rhode Island. The advertisement displayed bottles of named brand liquors. It also advertised: "State Line Chips" at \$1.79, with the price highlighted in a burst form; "Peanuts" at 89 cents a pound with the exclamation "WOW" highlighted in a burst form; "Cigarettes: Cartons and Packs" at various prices for different sizes; and "Schweppes Mixers" at \$1.29 a bottle. None of the alcoholic beverages showed any prices, but several of the "WOW" exclamations – highlighted in burst form – appeared next to the displayed bottles.

At the conclusion of the hearing, Racine determined that a violation had occurred. She fined 44 Liquor Mart \$400.00, and ordered that the advertisement, as printed,

cease to run. 44 Liquor Mart paid the fine on December 17, 1991. No appeal was taken to the Liquor Control Hearing Board as provided by R.I.G.L. § 3-3-5.

People's, which extensively uses price advertising in Massachusetts, where it is permitted, attempted on several occasions in 1991 and 1992 to place its advertisements, which include price information, in Rhode Island newspapers and other media outlets. It has been refused because of R.I.G.L. § 3-8-8.1, which expressly prohibits the Rhode Island media from advertising retail alcoholic beverage price information.

In addition to the above stated facts, the parties have stipulated to the following:

- (1) other liquor licensees, as well as newspapers within the State, have been warned or fined for violations of the Rhode Island regulations;
- (2) plaintiffs believe they will each realize an economic benefit of more than \$100,000 per year if the price advertising ban is lifted;
- (3) defendant Racine vigorously enforces the price advertising ban;
- (4) Rhode Island permits all advertising of alcoholic beverages excepting references to price outside the licensed premises;
- (5) the State prohibits communications media from accepting any advertisements that refer to prices at which alcoholic beverages are being sold in other states;
- (6) Rhode Island communications media reach both Rhode Island and Massachusetts citizens;

- (7) the proposed speech does not concern an illegal activity and presumably would not be false or misleading; and
- (8) the state of Rhode Island has a substantial interest in regulating the sale of alcoholic beverages.

Defendant Racine defends the constitutionality of the State's ban on price advertising as a measure designed to promote temperance by directly reducing the consumption of alcohol by the citizens of Rhode Island.

II. FINDINGS OF FACT

The following findings of fact are drawn from the transcript of the March 11, 1993 hearing in this case and from my evaluation of two video-taped depositions submitted by agreement of the parties.

At the outset, I note a pronounced lack of unanimity among researchers who have studied the effects of alcohol advertising. No less than twelve different conclusions have been reached regarding the impact of advertising on the general consumption of alcoholic beverages. (Tr. 3/11/93, at 50-51). Numerous studies have attempted to correlate the consumption of alcohol by the general public and certain discreet groups to permitted or proscribed advertising of various alcoholic beverages. Only three that were called to the Court's attention, however, directly deal with price advertising: Jon P. Nelson, *State Monopolies and Alcoholic Beverage Consumption*, 2 J.Reg.Econ. 83 (1990); Gary P. Wilcox, *The Effect of Price Advertising on Alcoholic Beverage Sales*, 25 J. Advertising Res. 33 (1985); and Stanley I. Ornstein and Dominique M.

Hanssens, *Alcohol Control Laws and the Consumption of Distilled Spirits and Beer*, 12 J. Consumer Res. 200 (September 1985). In this setting, experts for the respective parties testified.

Plaintiffs presented two expert witnesses: Dr. Reginald Smart, a Ph.D. in psychology and scientist with the Addiction Research Foundation in Toronto, Canada, and Dr. David J. Pittman, a Ph.D. in human development and professor of psychology at the Washington University in St. Louis. Both experts agreed that some studies have shown that overall alcohol advertising has a slight effect on alcohol consumption. (Tr. 3/11/93, at 50-51, 72; Pittman Dep., 11/10/92, at 12). They each maintained, however, that there is no empirical evidence that the presence or absence of alcohol price advertising significantly affects levels of alcohol consumption.

Dr. Smart focused his opinion on price advertising. He agreed with the three studies by Nelson, Wilson, and Ornstein and Hanssens, *supra*, which concluded that bans on price advertising have no effect on alcohol consumption. Dr. Smart used Rhode Island as a classic example of the fallacy of conclusions to the contrary. Rhode Island, a license state, which has a ban on alcohol price advertising, has "a fairly high level of alcohol consumption, about 2.86 gallons of absolute alcohol per person." (Tr. at 27). It ranks in the upper 30 percent of the states in per capita consumption. (Tr. at 64). In other license states that allow price advertising, alcohol consumption is lower. (Tr. at 65-66).

Dr. Smart also noted that on a national scale, over the past fifteen years, consumption levels generally have

decreased even though overall advertising levels have increased. (Tr. at 64). True, the decline has been fairly small. Nevertheless, it has been consistent year after year. (Tr. at 64). According to Dr. Smart, the mere fact that price advertising may lower sales prices does not mean that per capita consumption will be influenced. It is his conclusion that consumption is influenced by the disposable income available to the individual buyer, that is, the available money remaining after payment of living expenses. (Tr. at 45, 73).

As noted above, Dr. Smart conceded that some researchers have concluded that overall alcohol advertising may have *some* effect on levels of consumption. (Tr. at 50-51, 72). He based his own opinion, however, on research that shows that overall alcohol advertising does not appear to have much effect on alcohol consumption or problems. (Tr. at 24, 72). In addition, he explained, because price advertising is only one part of the total advertising phenomenon, there is no reason to believe that a change in that factor alone would have much of an impact on levels of consumption. (Tr. at 24).

Dr. Smart bolstered his opinion by referring to a 1985 Federal Trade Commission study that found, after reviewing various research, no evidence to believe alcohol advertising significantly affects alcohol abuse. (Tr. at 28). In addition, Dr. Smart supported his testimony with a critique of studies on general alcohol advertising that he believed were inapposite and, at any rate, flawed. (Tr. at 69-71).

In concluding this recitation of the pertinent aspects of Dr. Smart's testimony, I record verbatim particularly persuasive passages:

A. Well, that study [by Dr. Nelson] was important, I think, in that it established quite clearly that for all states there was no relationship between a price ad ban and no price ad ban when it came to alcohol consumption. States with price ad bans didn't have lower consumption than those who had no such ban and with regard to prices, it's also interesting that Nelson has shown that overall prices are the same in control and license states and here I think we have to remember that license states, almost all license states in the U.S. except for three have no ban on -- on prices.^[4] Now, one might expect that the prices in license states should be higher than in control states or lower but what we see is essentially no difference. That too suggests to me that probably the price ad ban has no impact.

* * *

Also [Atkin and Block] asked people to recall their television advertising or their television viewing but in the Strickland study, respondents reported the number of times they watched various television programs and then investigators determined from records how much total advertising and how much total advertising each person saw and I think they should reduce the problems. They also improved the sampling of students. They had a

⁴ There are certain states that do not license retailers but rather operate state controlled retail stores. (Tr. at 67-68).

stratified sampling procedure. Generally I think the Strickland results are based on a stronger study and they reach conclusions which were quite different than Atkin and Block.

Q. And what were Strickland's conclusions?

A. Strickland's conclusion was that there was no overall correlation between alcohol consumption or problems and alcohol advertising.

Q. Now, when you were being cross examined, you were asked about a number of different studies and statements that you had reported in your paper. Now, were those statements and studies relating to price advertising or to advertising in general?

A. The great majority of them were about advertising in general and not about price advertising at all.

Q. When you were cross-examined, you indicated that you agreed that consumers would travel to obtain lower prices for alcoholic beverages. Do you recall that?

A. Yes, I do.

Q. Now, do you equate the fact that consumers would travel to obtain lower prices for alcoholic beverages with consumers consuming more alcoholic beverages?

A. I don't know of any empirical study that's really shown that, that because people will travel to get alcoholic beverages at a lower price that means they'll necessarily drink more. What - What I'm aware of are studies that show that people generally decide how much money they have to spend on alcoholic beverages per week

or per month. Then they tend to spend that amount and if they can spend it in one way, they'll do it and in another way they'll do that as well.

(Tr. at 68-71).

Dr. Pittman's testimony concurred with Dr. Smart's as to the insignificance of price advertising on alcohol consumption. (Pittman Dep., 11/5/92, at 20). Dr. Pittman further testified that many other factors besides price influence alcohol consumption levels, including religion, cultural patterns, peer pressure, family make-up, and ethnic background. (Pittman Dep., 11/5/92, at 21-22, Pittman Dep. 11/10/92, at 13-14). Ultimately, he stated that he was unaware of any empirical evidence that would support the conclusion that banning alcohol price advertising promotes temperance. (Pittman Dep., 11/5/92, at 25).

In rebuttal, the defendant presented evidence - although not directly focused on price advertising - that some research groups believe that alcohol advertising leads to increased overall consumption. In her cross-examination of Dr. Smart, counsel for the defendant elicited testimony that the distinguished economist John Kenneth Galbraith and the American Medical Association ("AMA") agree with such a conclusion. (Tr. at 33-37). In 1986, Dr. Smart conceded, the AMA advocated a ban on alcohol advertising with the statement that such advertising affects youthful consumption and influences both brand preferences and the total volume of alcoholic beverages consumed by the public. (Tr. at 33-34). In addition, Dr. Smart acknowledged that advertising has cumulative effects that are difficult to detect in studies, and that

research studies have been varied and equivocal because it is a difficult topic to research. (Tr. at 39-40).

Defendant's expert, Dr. Henry Saffer, a Ph.D. in economics and professor of economics at Kean College in New Jersey, testified that alcohol advertising bans affect alcohol abuse. He stated that in a study he conducted of 17 countries over 14 years,⁵ those countries that banned all broadcast advertisements of alcohol had the lowest values for alcohol consumption, liver cirrhosis, mortality rates and motor vehicle fatality rates. (Saffer Deposition, 11/16/92, at 19). Dr. Saffer's testimony, and the conclusions of his international study, are accurately recited by the defendant in her post-trial memorandum:

Countries with more restrictive advertising policies had the lowest increases in consumption. Countries with bans of spirits advertising have about 16% lower alcohol consumption than countries with no bans. Countries with bans on beer and wine advertising have about 11% lower alcohol consumption than countries with bans only on spirits advertising. Countries with bans on spirits advertising have about 10% lower motor vehicle fatality rates than countries with no bans. Countries with bans on beer and wine advertising have about 23% lower motor vehicle fatality rates than countries with bans only on spirits advertising. The data show that alcohol consumption is related to advertising bans and alcohol price. Liver cirrhosis mortality rates are less consistently related to alcohol

⁵ Henry Saffer, *Alcohol advertising bans and alcohol abuse: An international perspective*, 10 J. Health Econ. 65 (1991) (Saffer Dep. Ex. J).

advertising bans, but are clearly related to alcohol price.

The ban on price advertising promotes temperance in two ways, by increasing the "search time" involved in finding the best price on alcoholic beverages, and by keeping the actual price of alcoholic beverages higher than they would be if price were allowed to be advertised. Dr. Saffer explained the "search cost" theory as follows: The average price for alcohol would be lower if people could more easily find lower prices. The price advertising ban creates a greater variance of prices in the state than you would have without a ban, which gives people an incentive to shop around, increasing the search costs. If there were no ban on price advertising, the variance of prices would probably decrease and there would be less search time. Dr. Saffer testified that higher prices result in lower alcohol consumption. If the price advertising ban were abolished, it would lower average prices and increase consumption.

Defendant's Post Trial Memorandum at 5-6.

I do not find Dr. Saffer's testimony persuasive. After reviewing his deposition, I conclude that he did not, in any meaningful way, consider a number of variables that influence the public's consumption of alcohol. He did not use any data recognizing ethnic background, income and education levels, or the difference of attitudes and drinking habits that exist in different countries. (Saffer Dep. at 35-42). His complicated studies, in part, correlated more banning of alcoholic beverage advertising with lower levels of consumption, liver cirrhosis and highway fatalities. (Saffer Dep. at 40-41). Yet, the information he had

did not deal only with liver cirrhosis caused by alcohol. He admitted that "environmental factors" can have an effect on this ailment but did not control his study for this factor. (Saffer Dep. at 41). He also acknowledged that he had no information in his foreign country study as to which traffic fatalities were caused by non-alcohol related factors. (Saffer Dep. at 41-42).

I also conclude that while Dr. Saffer knew that the national alcoholic beverage consumption trend for the past ten years has declined, he had no idea of what the trend has been in Rhode Island. (Saffer Dep. at 44). Nor had he made any determination as to how much lower prices might be expected to go if the price advertising ban were lifted. (Saffer Dep. at 45-46). He conceded that many other factors would have to be considered. (Saffer Dep. at 46).

Significantly, Dr. Saffer conceded that the objective of lowering consumption of alcohol by banning price advertising could be accomplished by establishing minimum prices and/or by increasing sales taxes on alcoholic beverages. (Saffer Dep. at 31-32). And while he obviously considered both empirical and theoretical works that move "towards the question of what a socially optimal price is," he was unable to say what that price would be for Rhode Island. (Saffer Dep. at 32).

In addition, Dr. Saffer agreed that banning advertising would not necessarily result in optimal liquor prices. (Saffer Dep. at 34). He further acknowledged that if a company could increase its market share by advertising prices, it could increase its own profits without affecting

overall consumption. (Saffer Dep. at 50-51). Thus, plaintiffs' expectation of realizing additional profits through price advertising has no necessary relationship to increased overall consumption. Finally, Dr. Saffer's studies did not deal with the precise issues presented in this litigation.

Based on the record presented, I find as a fact that Rhode Island's off-premises liquor price advertising ban has no significant impact on levels of alcohol consumption in Rhode Island.⁶

III. RHODE ISLAND PRECEDENT

As a threshold matter, I must note that in *S & S Liquor Mart, Inc. v. Pastore*, 497 A.2d 729 (R.I.1985) and *Rhode Island Liquor Stores Ass'n v. Evening Call Pub. Co.*, 497 A.2d 331 (R.I.1985), the Rhode Island Supreme Court addressed the constitutionality of precisely the same statutes that are challenged here. In both of these cases, the Supreme Court held that the price advertising ban was a valid exercise of the State's powers under the Twenty-first Amendment⁷ and did not violate liquor retailers'

⁶ With respect to the narrow issue in this case regarding price advertising of alcoholic beverages, I agree with the various conclusions of Dr. Smart, I wish to emphasize, however, that I make no findings as to the effect that a total or partial ban on general alcohol advertising would have on consumption levels in Rhode Island.

⁷ Section 1 of the Twenty-first Amendment repealed the Eighteenth Amendment's prohibition of the manufacture, sale, or transportation of liquor. Section 2 provides:

The transportation or importation into any State, Territory, or possession of the United States for delivery

First Amendment rights. The defendant argues that this Court should defer to the reasoning and opinion of the Rhode Island Supreme Court and uphold the price advertising ban.

The specter of a direct conflict between the decision of a federal court and the previous decisions of the highest state court in the jurisdiction in which the federal court sits raises delicate issues of comity. Nevertheless, the decisions of the Rhode Island Supreme Court, while persuasive, do not bind this federal court as to issues of federal constitutional law. See *Grantham v. Avondale Indus.*, 964 F.2d 471, 473 (5th Cir.1992) ("It is beyond cavil that we are not bound by a state court's interpretation of federal law regardless of whether our jurisdiction is based on diversity of citizenship or a federal question."); *In re Asbestos Litigation*, 829 F.2d 1233, 1237 (3rd Cir.1987), cert. denied, 485 U.S. 1029, 108 S.Ct. 1586, 99 L.Ed.2d 901 (1988) ("The federal district court . . . takes as its authority on federal constitutional issues, decisions of the United States Courts of Appeals and the United States Supreme Court, rather than those of the state supreme court.").

Circuit Judge Selya, as a trial judge, enunciated this principle when he stated: "[I]n construing a state statute, a federal court must defer to the highest court of a state as the best arbiter of state law." *Donahue v. Rhode Island Dept. of Mental Health, Retardation & Hospitals*, 632 F.Supp. 1456, 1478 (D.R.I.1986) (citing *Commissioner v. Estate of*

or use therein of intoxicating liquors, in violation of the laws thereof, is hereby prohibited.

Bosch, 387 U.S. 456, 462, 87 S.Ct. 1776, 1781, 18 L.Ed.2d 886 (1967) and *Ragan v. Merchants Transfer & Warehouse Co.*, 337 U.S. 530, 534, 69 S.Ct. 1233, 1235, 93 L.Ed. 1520 (1949)). Such deference, however, "involves the meaning of the enactment; once the meaning is established, the question of whether or not the ordinance passes constitutional muster is one within the primacy of the federal courts." *Donahue*, 632 F.Supp. at 1478.

I also note that plaintiffs' challenge in this case is readily distinguishable from *S & S Liquor* and *Evening Call* due to the extensive expert testimony and factual record presented. The Rhode Island Supreme Court did not have the benefit of a fully developed factual record and conceded that "[i]t may be that some day, in some litigated case, evidence will be adduced that will support the proposition that these advertising restrictions do not further temperance objectives." *S & S Liquor Mart*, 497 A.2d at 734.

However desirable comity may be, it cannot trump where a federal court is confronted with an issue involving the United States Constitution, "raised by persons who were not parties in the state litigation." *Joseph v. Blair*, 482 F.2d 575, 579 n. 4 (4th Cir.1973), cert. denied, 416 U.S. 955, 94 S.Ct. 1968, 40 L.Ed.2d 305 (1974). Thus, it is manifest that I must decide for myself the constitutionality of the statutes at issue.

IV. DISCUSSION

The parties agree that Rhode Island's alcohol price advertising ban implicates plaintiffs' constitutional interests in commercial speech. In order to place my factual

findings in the proper context, it is necessary to review the United States Supreme Court's pronouncements as to the level of protection afforded such speech by the First Amendment.

A. The *Central Hudson* Test

Commercial speech now has a definite niche in the pantheon of rights protected by the First Amendment.⁸ In a recent opinion, the Supreme Court summarized the general principles underlying the protection of commercial speech:

The commercial market place, like other spheres of our social and cultural life, provides a forum where ideas and information flourish. Some of the ideas and information are vital, some of slight worth. But the general rule is that the speaker and the audience, not the government, assess the value of the information presented. Thus, even a communication that does no more than propose a commercial transaction is entitled to the coverage of the First Amendment.

Edenfield v. Fane, ___ U.S. ___, ___, 113 S.Ct. 1792, 1798, 123 L.Ed.2d 543 (1993).

Even while acknowledging this constitutional protection, the Supreme Court's decisions have recognized the " 'common sense' distinction between speech proposing a

⁸ Purely commercial advertisements were once considered to be outside the protection of the First Amendment. See *Valentine v. Christensen*, 316 U.S. 52, 54, 62 S.Ct. 920, 921, 86 L.Ed. 1262 (1942) (Constitution imposes no restraint upon the government with respect to the regulation of "purely commercial advertising").

commercial transaction, which occurs in an area traditionally subject to government regulation, and other varieties of speech." *Ohralik v. Ohio State Bar Ass'n*, 436 U.S. 447, 455-56, 98 S.Ct. 1912, 1918, 56 L.Ed.2d 444 (1978) (citing *Virginia Pharmacy Bd. v. Citizens Consumer Council*, 425 U.S. 748, 771 n. 24, 96 S.Ct. 1817, 1830 n. 24, 48 L.Ed.2d 346 (1976)). These distinctions have led the Court to conclude that "[t]he Constitution . . . affords a lesser protection to commercial speech than to other constitutionally guaranteed expression." *U.S. v. Edge Broadcasting Co.*, ___ U.S. ___, ___, 113 S.Ct. 2696, 2703, 125 L.Ed.2d 345 (1993) (citing *Board of Trustees v. Fox*, 492 U.S. 469, 477, 109 S.Ct. 3028, 3033, 106 L.Ed.2d 388 (1989), *Central Hudson Gas & Electric Corp. v. Public Service Com.*, 447 U.S. 557, 563, 100 S.Ct. 2343, 2350, 65 L.Ed.2d 341 (1980), and *Ohralik*, 436 U.S. at 456, 98 S.Ct. at 1918)).

In *Central Hudson*, *supra*, the Supreme Court set out a four-part test for assessing government restrictions on commercial speech:

[First] . . . [the commercial speech] at least must concern lawful activity and not be misleading. Next, we ask whether the asserted governmental interest is substantial. If both inquiries yield positive answers, we must determine whether the regulation directly advances the governmental interest asserted, and whether it is not more extensive than is necessary to serve that interest.

447 U.S. at 566, 100 S.Ct. at 2351. This four-part analysis has endured as the constitutional benchmark in commercial speech cases.

With respect to the burden of proof, the Supreme Court recently reaffirmed that:

It is well established that "[t]he party seeking to uphold a restriction on commercial speech carries the burden of justifying it." *Bolger v. Youngs Drug Products Corp.*, 463 U.S. 60, 71, n. 20 [103 S.Ct. 2875, 2883, n. 20], 77 L.Ed.2d 469 (1983); *Fox*, 492 U.S., at 480, 109 S.Ct., at 3035. This burden is not satisfied by mere speculation or conjecture; rather, a governmental body seeking to sustain a restriction on commercial speech must demonstrate that the harms it recites are real and that its restriction will in fact alleviate them to a material degree.

Edenfield, ___ U.S. at ___, 113 S.Ct. at 1800. Thus, state legislatures must take their constitutional obligations seriously by demonstrating that regulatory measures which burden commercial speakers directly serve concrete and substantial state interests.

B. *Central Hudson* and the Twenty-first Amendment

In the case at hand, the parties do not dispute that the price advertising at issue constitutes commercial speech within the protection of the First Amendment. The parties also stipulate that plaintiffs' proposed price advertising concerns lawful activity and will not be misleading. Further, they agree that Rhode Island has a substantial interest in fostering temperance and that under the Twenty-first Amendment the State has the right to regulate "the sale, and the incidents thereof, of alcoholic

beverages, and to protect its citizens from the evils incident to alcohol.' " *S & S Liquor*, 497 A.2d at 732 (quoting *Oklahoma Telecasters Ass'n v. Crisp*, 699 F.2d 490, 500 (10th Cir.1983), *rev'd on other grounds sub nom. Capital Cities Cable, Inc. v. Crisp*, 467 U.S. 691, 104 S.Ct. 2694, 81 L.Ed.2d 580 (1984)). I accept the parties' conclusions and find that the first two prongs of the *Central Hudson* test have been satisfied.

The parties vigorously debate the third and fourth elements of the *Central Hudson* analysis. Specifically, they dispute whether the Twenty-first Amendment requires a shift in both the level and allocation of the traditional burden of proof.

Relying on the State's considerable authority in the area of alcohol regulation (and, indeed, its ability to ban the sale of alcohol altogether) under the Twenty-first Amendment, the defendant contends that the legislature's chosen scheme need only be "reasonably related to," rather than "directly advance," its stated ends in order to withstand constitutional scrutiny. Defendant also contends that, because of the Twenty-first Amendment, the price advertising regulation is entitled to an "added presumption" in favor of its validity. *New York State Liquor Authority v. Bellanca*, 452 U.S. 714, 718, 101 S.Ct. 2599, 2602, 69 L.Ed.2d 357 (1981) (quoting *California v. LaRue*, 409 U.S. 109, 118, 93 S.Ct. 390, 397, 34 L.Ed.2d 342 (1972)). Following the reasoning of the Rhode Island Supreme Court in *S & S Liquor* and *Evening Call*, the defendant suggests that this "added presumption" works to shift the burden of proof to the plaintiffs to show that "these statutes are unconstitutional beyond a reasonable doubt." Defendant's Post-Trial Memorandum at 7.

Respectfully, I find that defendant's reasoning overstates the law in this area, abrogating too broadly other constitutional provisions. The Twenty-first Amendment cannot be read in isolation as a supreme provision impinging all other constitutional rights.

The Twenty-first Amendment is an exception to the Commerce Clause and gives the states broad regulatory authority over interstate commerce of liquor. *Hostetter v. Idlewild Bon Voyage Liquor Corp.*, 377 U.S. 324, 330, 84 S.Ct. 1293, 1296, 12 L.Ed.2d 350 (1964). This regulatory authority, however, is not absolute and can be limited by the federal commerce power in appropriate situations. *Id.* at 332, 84 S.Ct. at 1298. See also *California Retail Liquor Dealers Ass'n v. Midcal Aluminum, Inc.*, 445 U.S. 97, 110, 100 S.Ct. 937, 945, 63 L.Ed.2d 233 (1980) (the states' power to regulate alcoholic beverages advertising is subject to federal anti-trust laws); *Bacchus Imports, Ltd. v. Dias*, 468 U.S. 263, 275, 104 S.Ct. 3049, 3057, 82 L.Ed.2d 200 (1984) ("economic protectionism" of local alcoholic beverages violates the Commerce Clause); *Healy v. Beer Inst.*, 491 U.S. 324, 334, 109 S.Ct. 2491, 2498, 105 L.Ed.2d 275 (1989) (state regulation of alcoholic beverage prices is invalid under the Commerce Clause when it affects prices in other states).

Nor does the Twenty-first Amendment necessarily override constitutional guaranties found in the Bill of Rights. In *Craig v. Boren*, 429 U.S. 190, 97 S.Ct. 451, 50 L.Ed.2d 397 (1976), Justice Brennan, writing for the majority, stated:

Once passing beyond consideration of the Commerce Clause, the relevance of the Twenty-first Amendment to other constitutional provisions

becomes increasingly doubtful. As one commentator has remarked: "Neither the text nor the history of the Twenty-first Amendment suggests that it qualifies individual rights protected by the Bill of Rights and the Fourteenth Amendment where the sale or use of liquor is concerned."

Id. at 206, 97 S.Ct. at 461 (quoting P. Brest, *Processes of Constitutional Decisionmaking, Cases and Materials* 258 (1975)). See also *Larkin v. Grendel's Den, Inc.*, 459 U.S. 116, 122 n. 5, 103 S.Ct. 505, 510 n. 5, 74 L.Ed.2d 297 (1982) (state's power under Twenty-first Amendment could not impinge upon Establishment Clause of the First Amendment); *Wisconsin v. Constantineau*, 400 U.S. 433, 436, 91 S.Ct. 507, 509, 27 L.Ed.2d 515 (1971) (posting the names of excessive drinkers in retail liquor outlets violated due process).⁹

The strongest authority for the proposition that the Twenty-first Amendment may alter the balance in the *Central Hudson* analysis can be found in *California v. LaRue*, 409 U.S. 109, 93 S.Ct. 390, 34 L.Ed.2d 342 (1972) and *New York State Liquor Authority v. Bellanca*, 452 U.S. 714, 101 S.Ct. 2599, 69 L.Ed.2d 357 (1981), the cases chiefly relied upon by the Rhode Island Supreme Court in *S & S Liquor and Evening Call*.

In *LaRue*, the U.S. Supreme Court upheld a state liquor regulation prohibiting simulated sex acts and the

⁹ For a skillful summary of the historical interplay between the First and Twenty-first Amendments, see Richard S. Mandel, Note, *Liquor Advertising: Resolving the Clash Between The First and Twenty-First Amendments*, 57 N.Y.U.L.Rev. 157 (1984).

showing of films and pictures depicting such acts in licensed clubs. In *Bellanca*, the Court relied heavily upon *LaRue* in upholding a state liquor regulation prohibiting topless dancing in licensed establishments. In both cases, however, expression was only incidentally burdened. The *LaRue* Court was concerned with the conduct rather than the communication:

[A]s the mode of expression moves from the printed page to the commission of public acts that may themselves violate valid penal statutes, the scope of permissible state regulations significantly increases. States may sometimes proscribe expression that is directed to the accomplishment of an end that the State has declared to be illegal when such expression consists, in part, of "conduct" or "action."

409 U.S. at 117, 93 S.Ct. at 396 (citations omitted).

In the present action, we are not concerned with conduct or "public acts" that violate "valid penal statutes," but rather with pure speech that occurs off the licensed premises. *LaRue* and *Bellanca* do not mandate the application of a deferential standard of review in every case wherein a state, in the exercise of its Twenty-first Amendment powers, impinges on the First Amendment.

Nor do I believe that *Queensgate Invest. Co. v. Liquor Control Com.*, 459 U.S. 807, 103 S.Ct. 31, 74 L.Ed.2d 45 (1982), the only decision of the U.S. Supreme Court to address the relationship between the Twenty-first Amendment and commercial speech doctrine, compels a different result. In *Queensgate*, the Supreme Court summarily dismissed for want of a substantial federal question an appeal of an Ohio Supreme Court decision

upholding the constitutionality of a statute imposing a partial ban on liquor price advertising. Since *Queensgate* relied upon a different factual predicate and, as a summary dismissal lacks a reasoned opinion, I cannot accept it as any stronger authority for the defendant than *LaRue* or *Bellanca*. See *Mandel v. Bradley*, 432 U.S. 173, 176, 97 S.Ct. 2238, 2240, 53 L.Ed.2d 199 (1977) (summary dispositions are binding precedent only on "the precise issues presented and necessarily decided").¹⁰

¹⁰ I note that the Supreme Court cited *Queensgate* in its most recent commercial speech opinion, *U.S. v. Edge Broadcasting*, *supra*. In that case, the Supreme Court cited *Queensgate* in support of the narrow proposition that a legislative body is entitled to determine that promotional advertising of a product (lottery gambling) prohibited in one state, but available in a neighboring state, undermines the prohibiting state's policy against gambling, even if the prohibiting state's advertising audience is not "wholly unaware of the lottery's existence" in the neighboring state. ___ U.S. at ___, 113 S.Ct. at 2696. Importantly, the Court went on to note that "[i]f there is an immediate connection between advertising and demand, and the . . . regulation decreases advertising, it stands to reason that the policy of decreasing demand for [the product] is correspondingly advanced." *Id.*

In the liquor advertising context, the above reasoning supports the notion that it "stands to reason" that a state regulation decreasing the amount of alcohol advertising, would directly advance the state's interest in decreasing demand for alcohol. As noted above, however, the regulations at issue in this case make no attempt to reduce the amount of alcohol advertising, but merely proscribe the dissemination of truthful price information. Again, I make no determination here as to the potential constitutionality of a total or partial ban on alcohol advertising in Rhode Island.

Other circuits, relying on *LaRue*, *Bellanca* and *Queensgate*, have applied a deferential *Central Hudson* standard and upheld statutes prohibiting liquor advertising against First Amendment challenges. See *Oklahoma Telecasters Ass'n v. Crisp*, 699 F.2d 490 (10th Cir.1983), *rev'd on other grounds sub nom. Capital Cities Cable, Inc. v. Crisp*, 467 U.S. 691, 104 S.Ct. 2694, 81 L.Ed.2d 580 (1984)¹¹ and *Dunagin v. Oxford*, 718 F.2d 738 (5th Cir.1983) (en banc), *cert. denied*, 467 U.S. 1259, 104 S.Ct. 3553, 82 L.Ed.2d 855 (1984). I do not find these cases persuasive in the present context. In addition to their reliance on *LaRue* and *Bellanca* to give an "added presumption" of constitutionality to state regulation of pure commercial speech pursuant to the Twenty-first Amendment, these cases concerned total bans on liquor advertising. They simply do not deal with price advertising in the present factual setting.

In sum, I find that the Twenty-first Amendment does not require a modification of either the level or allocation of the burden of proof in commercial speech cases involving the regulation of the sale of alcoholic beverages. See

¹¹ The Tenth Circuit upheld Oklahoma's ban on alcohol advertising in *Oklahoma Telecasters Association, supra*. The Supreme Court granted *certiorari* to consider the petitioner's claim that the ban was not a valid restriction on commercial speech. Ultimately, however, the Court decided the case on a ground raised by the Federal Communications Commission as *Amicus Curiae*, holding that the Oklahoma ban on the retransmission of liquor advertisements in out-of-state signals by cable operators was preempted by federal regulation of cable broadcasting. See *Capital Cities Cable, Inc. v. Crisp*, 467 U.S. at 697, 104 S.Ct. at 2699. The Supreme Court never reached the First Amendment commercial speech issues.

Michigan Beer & Wine Wholesalers Ass'n v. Attorney General, 142 Mich.App. 294, 370 N.W.2d 328, 335 (1985), *cert. denied*, 479 U.S. 939, 107 S.Ct. 420, 93 L.Ed.2d 371 (1986) (Twenty-first Amendment does not require court to treat restraints on speech any differently than if alcoholic beverages were not involved).¹² Consequently, the State bears the burden of justifying the alcohol price advertising ban by demonstrating that it "directly advances" its interest in promoting temperance and "is not more extensive than is necessary to serve that interest." *Central Hudson*, 447 U.S. at 566, 100 S.Ct. at 2351.

C. Applying the *Central Hudson* Test

As noted above, the parties agree that plaintiffs' proposed speech concerns lawful activity and would not be misleading. They also agree that the State has a substantial interest in promoting temperance. Thus, I need only consider the last two prongs of the *Central Hudson* analysis. The Supreme Court has described these steps as " 'basically involv[ing] a consideration of the 'fit' between the legislature's ends and the means chosen to accomplish those ends.' " *Edge Broadcasting*, ___ U.S. at ___, 113 S.Ct. at 2704 (quoting *Posodas de Puerto Rico Associates v. Tourism Co. of Puerto Rico*, 478 U.S. 328, 341, 106 S.Ct. 2968, 2977, 92 L.Ed.2d 266 (1986)). There must be

¹² The Michigan intermediate state court, faced with a substantially similar prohibition on alcohol price advertising, applied *Central Hudson* and concluded that the prohibition was an unconstitutional restriction on commercial speech.

an "immediate connection," however, between the prohibition and the government's asserted end. *Central Hudson*, 447 U.S. at 569, 100 S.Ct. at 2353; *Edge Broadcasting*, ___ U.S. at ___, 113 S.Ct. at 2707. And if the means-end connection is "tenuous" or "highly speculative," the regulation cannot survive constitutional scrutiny. *Central Hudson*, 447 U.S. at 569, 100 S.Ct. at 2353.

Unlike a number of cases in the commercial speech area, the link between alcohol price advertising and increased per-capita consumption is not self-evidence. See, e.g., *Posadas*, 478 U.S. at 341-42, 106 S.Ct. at 2976-77 (link between ban on gambling advertising and level of gambling self-evident); *Central Hudson*, 447 U.S. at 569, 100 S.Ct. at 2353 (link between advertising ban and sales self-evident); *Dunagin v. Oxford*, 718 F.2d at 747-49 & n. 8 (link between overall advertising and increased alcohol use deemed self-evident). Nor do I believe this is a case where this Court should defer to the legislature on the basis of precedent which has already established that the legislature's chosen means directly advances the asserted ends. See, e.g., *Metromedia, Inc. v. San Diego*, 453 U.S. 490, 509 & n. 14, 101 S.Ct. 2882, 2893 & n. 14, 69 L.Ed.2d 800 (1981) (plurality relied on established line of cases to ratify legislature's judgment that banning commercial billboards would improve traffic safety).¹³

In this case, the State has failed to carry its burden of proof to show a direct correlation between the price advertising ban and reduced consumption of alcohol. As

¹³ For the reasons discussed *supra* Part III, I do not rely on the Rhode Island Supreme Court's deference to the legislature in *S & S Liquor Mart and Evening Call*.

discussed *supra* Part II, the plaintiffs' expert testimony demonstrates that the alcohol price advertising ban has no appreciable impact on levels of consumption in Rhode Island. At best, price advertising is one factor among many that influence alcohol consumption patterns.

Even if defendant's burden of proof on this issue were tempered somewhat by the State's substantial Twenty-first Amendment interest in regulating the evils incident to the sale and transportation of alcohol, the evidence presented does not satisfy the *Central Hudson* test. The State has simply not shown an "immediate connection" between the price advertising ban and reduced consumption.

I also find that the price advertising ban is more extensive than necessary to serve the State's asserted interest. The defendant claims that the ban increases the "search costs" of consumers and reduces the incidence of "price wars" between retailers, thus providing an "artificial floor" for liquor prices. Common sense tells us that a lifting of the ban on price advertising will lead to a more competitive market. But any concern that such competition will result in unacceptably low liquor price levels can be controlled by the imposition of higher sales taxes or minimum consumer prices. Such measures would directly serve the State's asserted ends without burdening commercial speech.

In his concurring opinion in *Central Hudson*, Justice Blackmun emphasized the critical role of an informed public in scrutinizing governmental policy choices:

I seriously doubt whether suppression of information concerning the availability and price of a

legally offered product is ever a permissible way for the State to "dampen" demand for or use of the product. Even though "commercial" speech is involved, such a regulatory measure strikes at the heart of the First Amendment. This is because it is a covert attempt by the State to manipulate the choices of its citizens, not by persuasion or direct regulation, but by depriving the public of the information needed to make a free choice.

447 U.S. at 574-75, 100 S.Ct. at 2356.

In this case, the State has failed to demonstrate the necessary reasonable 'fit' between its policy objectives and its chosen means. While it may have been "reasonable" or "rational," as defendant argues, for the legislature to assume a correlation between the price advertising ban and reduced consumption, the Supreme Court has recently explained that such "rational basis" scrutiny is not to be applied when deciding the constitutionality of restrictions on commercial speech:

[W]hile we have rejected the "least-restrictive-means" test for judging restrictions on commercial speech, so too have we rejected mere rational basis review. A regulation need not be "absolutely the least severe that will achieve the desired end," *Fox, supra*, 492 U.S., at 480, 109 S.Ct., at 3035, but if there are numerous and obvious less-burdensome alternatives to the restriction on commercial speech, that is certainly a relevant consideration in determining whether the "fit" between ends and means is reasonable.

Cincinnati v. Discovery Network, Inc., ___ U.S. ___ n. 13, 113 S.Ct. 1505, 1510 n. 13, 123 L.Ed.2d 99 (1993). Here,

it is evident that the State's ends may be easily accomplished by direct regulations controlling the retail prices of alcoholic beverages.

V. CONCLUSION

Commercial speech enjoys somewhat less First Amendment protection from governmental encroachment than other forms of speech. Nevertheless, under *Central Hudson*, a state must justify restrictions on truthful, non-misleading commercial speech by demonstrating that its actions "directly advance" a substantial state interest and are no more extensive than necessary to serve that interest.

For the reasons stated above, I hold that §§ 3-8-7 and 3-8-8.1 of the Rhode Island General Laws and Regulation 32 of the Rhode Island Liquor Control Administration do not directly advance the State's interest in reducing overall consumption of alcohol in Rhode Island and are more extensive than necessary to serve the State's interest. I find that the statutes impermissibly restrict commercial speech and are unconstitutional.

SO ORDERED.

Constitutional Addendum

AMENDMENT I

Congress shall make no law respecting an establishment of religion, or prohibiting the free exercise thereof; or abridging the freedom of speech, or of the press; or the right of the people peaceably to assemble, and to petition the Government for a redress of grievances.

AMENDMENT XXI

§ 2. The transportation or importation into any State, Territory, or possession of the United States for delivery or use therein of intoxicating liquors, in violation of the laws thereof, is hereby prohibited.

Statutory Addendum

R.I.G.L. §3-8-7 controls price advertising by licensees.

No manufacturer, wholesaler, or shipper from without this state and *no holder of a license issued under the provisions of this title and chapter shall cause or permit the advertising in any manner whatsoever of the price of any malt beverage, cordials, wine or distilled liquor offered for sale in this state; provided, however, that the provisions of this section shall not apply to price signs or tags attached to or placed on merchandise for sale within the licensed premises in accordance with rules and regulations of the department [emphasis added].*

R.I.G.L. §3-8-8.1 controls the acceptance of price advertising by the communications media.

App. 49

No newspaper, periodical, radio or television broadcaster or broadcasting company or any other person, firm or corporation with a principal place of business in the state of Rhode Island which is engaged in the business of advertising or selling advertising time or space shall accept, publish, or broadcast any advertisement in this state of the price or make reference to the price of any alcoholic beverages. Any person who shall violate any of the provisions of this section shall be guilty of a misdemeanor and shall be punished for the first offense by a fine in the sum of fifty dollars (\$50.00) and for each additional offense thereafter by a fine not exceeding the sum of one hundred dollars (\$100). Publication or broadcast by any person in violation of the provisions of this section shall also be subject to injunctive proceedings in a court of competent jurisdiction on a complaint brought by a retail licensee, or an association of retail licensees.

The provisions of this section shall not apply to any trade journal which is duly recognized and authorized to be exempt from the provisions of this section by the liquor control administrator [emphasis added].

R.I.G.L. §3-8-8 is the statutory basis for the authority of the liquor control administrator to promulgate regulations.

The liquor control administrator is hereby authorized to promulgate rules which will enforce the provisions of §3-8-7 and he shall have the power to suspend the license of any license-holder in violation thereof.

App. 50

Regulation 32 of the Liquor Control Administrator was enacted to "enforce" the provisions of §3-8-7.

No placard or sign of any kind which is visible from the exterior of any Class A premises licensed to sell at retail shall make reference to the price of any alcoholic beverage or mixture of alcoholic beverages.
